



OCCUPATIONAL CERTIFICATE: FINANCIAL MARKETS PRACTITIONER



MODULE 3: REGULATION OF FINANCIAL MARKETS

Let's get connected!

- Camera-on participation helps us build a stronger, more engaging learning environment.
- Feel more connected to your fellow learners and the facilitator.
- Encourage active participation and focus.
- Create a sense of community and make the training more fun!
- We understand life happens, but please keep your camera on as much as possible.

Let's see those smiling faces! 😊



PROGRAMME OUTLINE

Module 1: Introduction to Financial Markets

Module 2: Fundamentals of Economics

Module 3: Regulation of Financial Markets

Module 4: Equity Securities

Module 5: Interest-bearing Securities & Bond Markets

Module 6: Derivatives Markets & Alternative Investments

Module 7: Foreign Exchange Markets

Module 8: Financial Calculations & Instrument Evaluations

Module 9: Client Service, Investment Advice and Portfolio Management

Module 10: Trading and Settlement Processes

Module 11: Corporate Actions and Investment Vehicles

Module 12: Digital & AI Evolution in Banking and Financial Markets

Module 13: ESG in Financial Services

MODULES

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COURSE LAYOUT

Welcome



Welcome to the Empowering Excellence programme.

The professional landscape is evolving faster than ever. New technologies and shifting global pressures are reshaping how organizations operate.



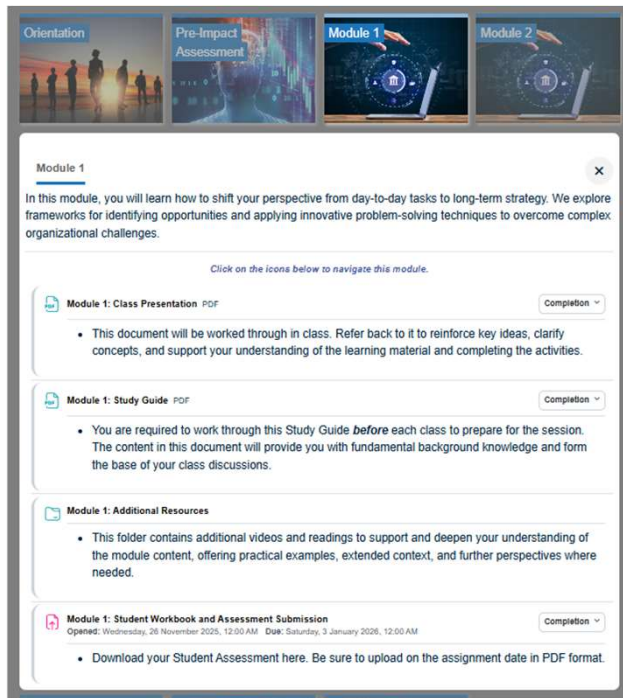
Throughout this journey, you'll explore the key drivers of modern success: innovation, digital fluency, strategic leadership, and sustainable growth.

Overall progress % 0



Here you will find all information related to your course and modules.

CLASS RESOURCES



Module 1

In this module, you will learn how to shift your perspective from day-to-day tasks to long-term strategy. We explore frameworks for identifying opportunities and applying innovative problem-solving techniques to overcome complex organizational challenges.

Click on the icons below to navigate this module.

- Module 1: Class Presentation** PDF Completion
 - This document will be worked through in class. Refer back to it to reinforce key ideas, clarify concepts, and support your understanding of the learning material and completing the activities.
- Module 1: Study Guide** PDF Completion
 - You are required to work through this Study Guide **before** each class to prepare for the session. The content in this document will provide you with fundamental background knowledge and form the base of your class discussions.
- Module 1: Additional Resources**
 - This folder contains additional videos and readings to support and deepen your understanding of the module content, offering practical examples, extended context, and further perspectives where needed.
- Module 1: Student Workbook and Assessment Submission** Completion

Opened: Wednesday, 26 November 2025, 12:00 AM Due: Saturday, 3 January 2026, 12:00 AM

 - Download your Student Assessment here. Be sure to upload on the assignment date in PDF format.



All module resources are available within each module.

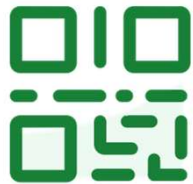
GROUND RULES

- What we say in this room will stay in this room.
- We can disagree with one another and provide feedback as long as we do so constructively and respectfully.
- We will all put on our listening hats when someone else is speaking.
- Everyone will participate to the extent that he or she feels comfortable. You get out of a workshop what you put into it.
- We agree that this is the place to make mistakes and to learn.
- We agree to each be responsible for our own behaviour.





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AGENDA

Financial Market Stability

Ethics in Financial Markets

Key Financial Regulations & Rules

South African Financial Regulators

Basel III Regulations

TOPICS

FINANCIAL MARKET STABILITY

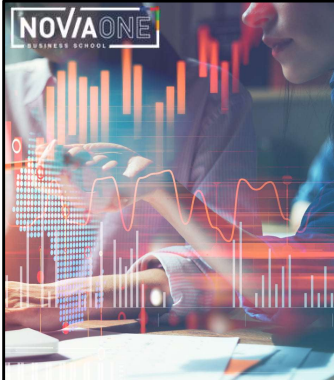


OVERVIEW

Legal certainty and robust regulatory frameworks are essential for maintaining financial market stability.

They provide the necessary structure for market participants to operate with confidence, minimising the risk of systemic failure.

The Global Financial Crisis of 2008 serves as a stark reminder of the consequences of inadequate regulation, where the collapse of financial institutions triggered widespread economic turmoil, highlighting the critical need for effective oversight to protect investors and ensure market integrity.



OBJECTIVES OF FINANCIAL REGULATIONS

- Protect consumers
- Foster economic growth
- Ensure fairness
- Enhance efficiency
- Improve society
- Improve society
- Support market confidence

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Protect Consumers

Regulations aim to safeguard consumers from abusive practices, ensuring they are not misled or sold unsuitable financial products.

Foster Economic Growth

Regulations facilitate the efficient allocation of capital, which is essential for economic development and the creation of jobs.

Ensure Fairness

Regulations promote fairness by mandating transparency and prohibiting insider trading, ensuring all market participants compete on equal terms.

Enhance Efficiency

By standardising processes and documentation, regulations reduce confusion and duplication, leading to lower operational costs.

Improve Society

Regulatory frameworks can achieve broader social goals, such as increasing access to credit for underprivileged groups and preventing financial crimes.

Support Market Confidence

Effective regulations bolster confidence among investors and consumers, which is crucial for the stability and functionality of financial markets.



CONSUMER PROTECTION IN FINANCE

Regulatory Measures for Consumer Protection

- Regulations prevent the sale of high-risk investments, ensuring that complex financial products are not sold to unsophisticated investors.
- Consumer financial protection agencies monitor and enforce rules against predatory lending practices, safeguarding borrowers from unfair terms and conditions.
- Transparency regulations require clear disclosure of fees and risks associated with financial products, promoting informed decision-making among consumers.
- Regulatory bodies provide resources and education to help consumers understand their rights and the financial products available to them.



ECONOMIC GROWTH AND CAPITAL FORMATION

Role of Financial Regulations in Capital Allocation

- Regulations guide investment towards sectors that spur economic growth, such as technology and infrastructure.
- They ensure transparency in financial transactions, attracting more investors to the market.
- Regulations help mitigate risks for investors, encouraging them to allocate funds to innovative startups and businesses.

Impact on Economic Growth

- Effective capital allocation leads to increased productivity and job creation in the economy.
- Regulations reduce uncertainty, fostering a stable environment for long-term investments.
- Healthy financial markets contribute to overall economic stability and resilience, benefiting society as a whole.



ENSURING FAIRNESS IN FINANCIAL MARKETS

Addressing Information Asymmetries

- Regulations require full and timely disclosure of relevant information to all market participants.
- Information asymmetries can deter investment; regulations ensure that all parties have access to the same data.
- By mandating transparency, regulators foster a level playing field for investors.

Prohibiting Insider Trading

- Insider trading regulations prevent individuals with insider knowledge from unfairly profiting.
- Strict penalties are enforced for insider trading to deter unethical behaviour in financial markets.
- Regulators monitor trading activities to ensure compliance and protect market integrity.

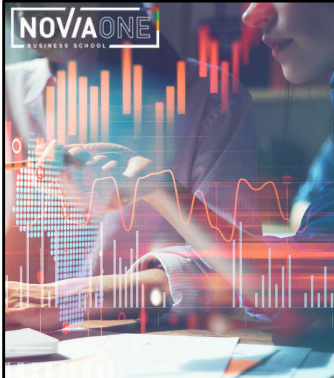


ENHANCING FINANCIAL MARKET EFFICIENCY

Standardising documentation and information transmission in financial markets significantly enhances economic efficiency.

By implementing uniform formats for financial documents and transactions, market participants can reduce duplication, minimise errors, and streamline processes.

This creates a more efficient environment for trading, reduces compliance costs, and increases the speed at which transactions occur, ultimately benefiting all stakeholders involved in the financial ecosystem.



REGULATORY MEASURES FOR ECONOMIC STABILITY

- Monitor institutions
- Conduct stress tests
- Enforce prudential rules
- Coordinate internationally

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Monitor Institutions

Regulators monitor financial institutions to ensure compliance with capital requirements and risk standards, identifying vulnerabilities before they escalate.

- Compliance reports
- Risk assessments
- Stability evaluations

Conduct Stress Tests

Regulators perform stress tests on banks to assess resilience under adverse conditions, ensuring institutions can withstand economic shocks.

- Stress test results
- Scenario analyses
- Capital evaluations

Enforce Prudential Rules

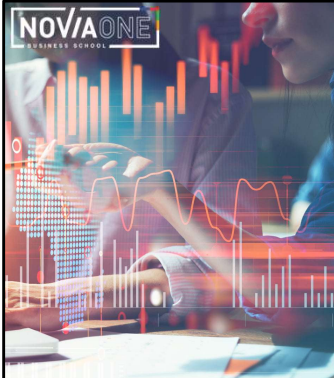
Prudential regulations manage risks and maintain solvency, including guidelines on leverage ratios, liquidity, and capital buffers to safeguard against systemic risks.

- Compliance frameworks
- Prudential guidelines
- Risk strategies

Coordinate Internationally

Regulators collaborate with international bodies to align standards and share information, enhancing global financial stability and preventing contagion.

- Regulatory agreements
- Stability reports
- Risk assessments



REGULATORY ROLE IN SOCIAL OBJECTIVES

- Preventing money laundering
- Promoting national savings rates
- Supporting financial literacy initiatives

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Preventing Money Laundering

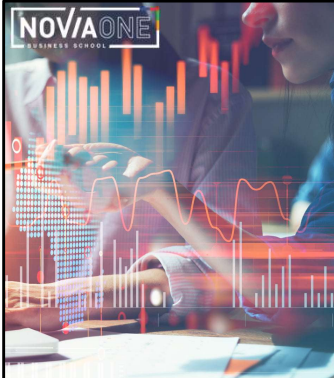
Regulations are enforced to prevent money laundering, ensuring that financial institutions monitor and report suspicious activities, thus protecting the integrity of the financial system.

Promoting National Savings Rates

Regulatory measures encourage savings by providing incentives for individuals and institutions, such as tax benefits for savings accounts, which helps strengthen the economy.

Supporting Financial Literacy Initiatives

Regulations promote financial literacy programs aimed at educating consumers about financial products, thereby enhancing informed decision-making and consumer protection.



CONSEQUENCES OF REGULATORY FAILURES

- Reputational damage
- Loss of revenue
- Legal action
- Worker injuries and deaths
- Business interruption
- Access issues and delays

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Reputational Damage

A company's image can be severely tarnished, leading to a loss of trust among stakeholders and clients.

Loss of Revenue

Non-compliance can lead to decreased sales and profitability, impacting the company's financial health.

Legal Action

Failure to comply with regulations can result in lawsuits or enforcement actions, incurring significant legal costs.

Worker Injuries and Deaths

Inadequate regulations may lead to unsafe working conditions, resulting in injuries or fatalities among employees.

Business Interruption

Regulatory challenges can disrupt normal operations, affecting productivity and service delivery.

Access Issues and Delays

Regulatory failures can create barriers to market access, resulting in delays for product launches and services.

ETHICS IN FINANCIAL MARKETS



INTRODUCTION

- Ethics play an essential role in protecting financial market integrity and the functioning of the investment industry.
- Financial market integrity refers to financial markets that are ethical and transparent and provide investor protection.
- Trust in the investment industry is enhanced when workers in the industry make decisions that are ethically sound.
- The fundamental ethical requirement of financial markets is that they be fair.
- Fairness may be defined either substantively (when the price of a security reflects the actual value) or procedurally (when buyers are enabled to determine the actual value of a security).

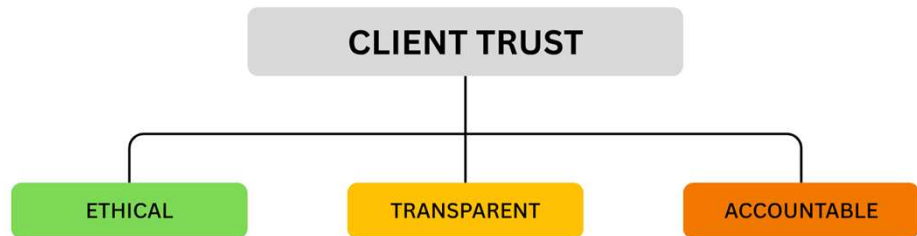


WHY ETHICS MATTER

- Investors intrinsically trust financial institutions with their money and expect them to invest it with integrity.
- All market risks considered, investors expect the highest return and put their faith in the hands of professionals.
- Upholding investor confidence is vital to the success of the investment industry.
- High ethical standards are critical to maintaining the public's trust in financial markets and in the investment profession.

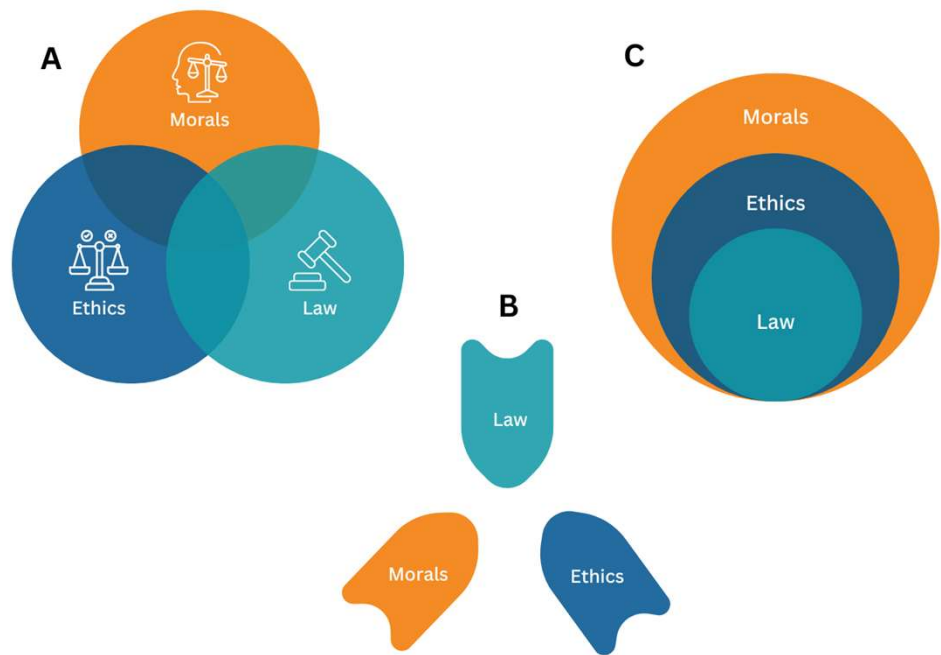


WHAT CLIENTS / INVESTORS WANT



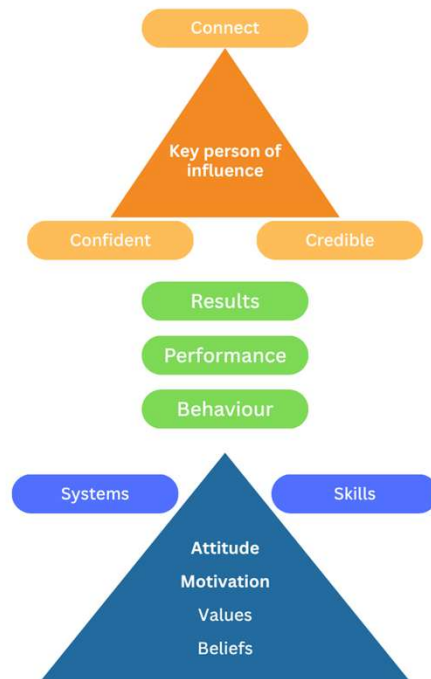


LAW, MORALS & ETHICS



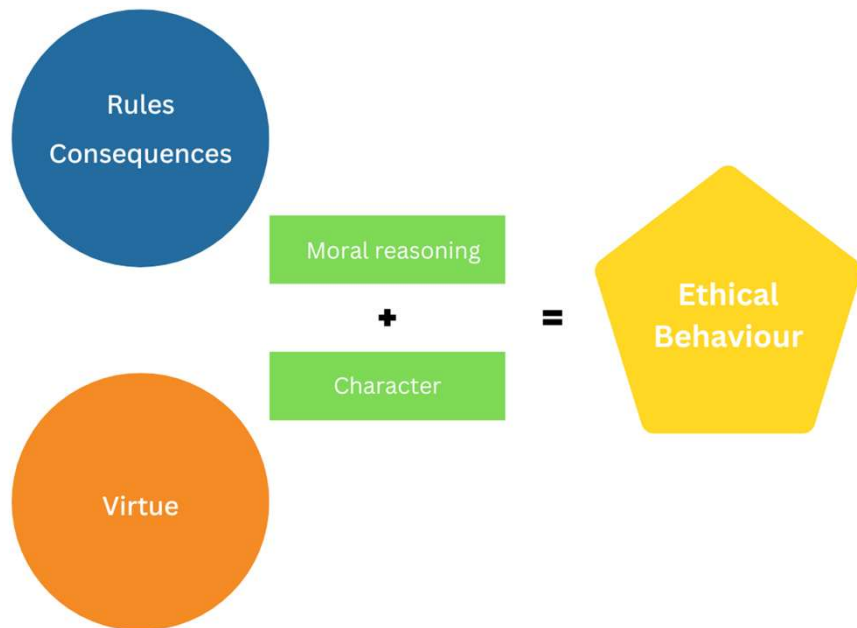


CHARACTER



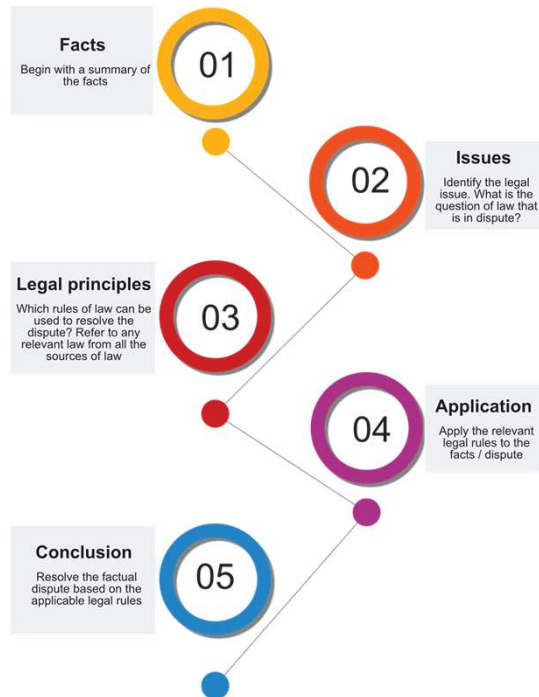


ETHICAL BEHAVIOUR



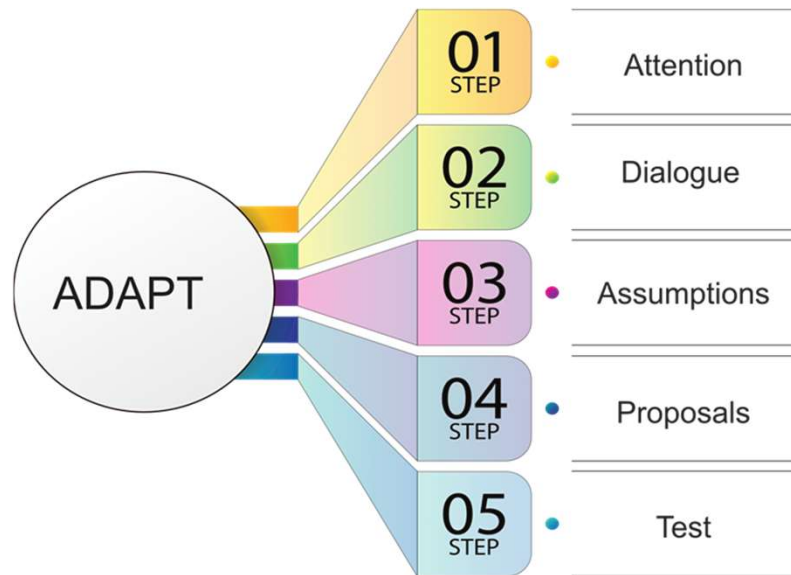


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ADAPT



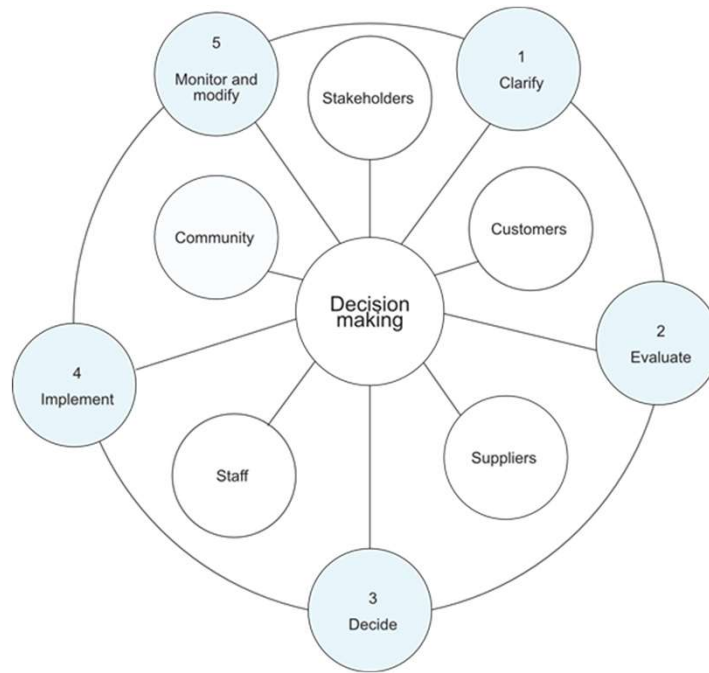


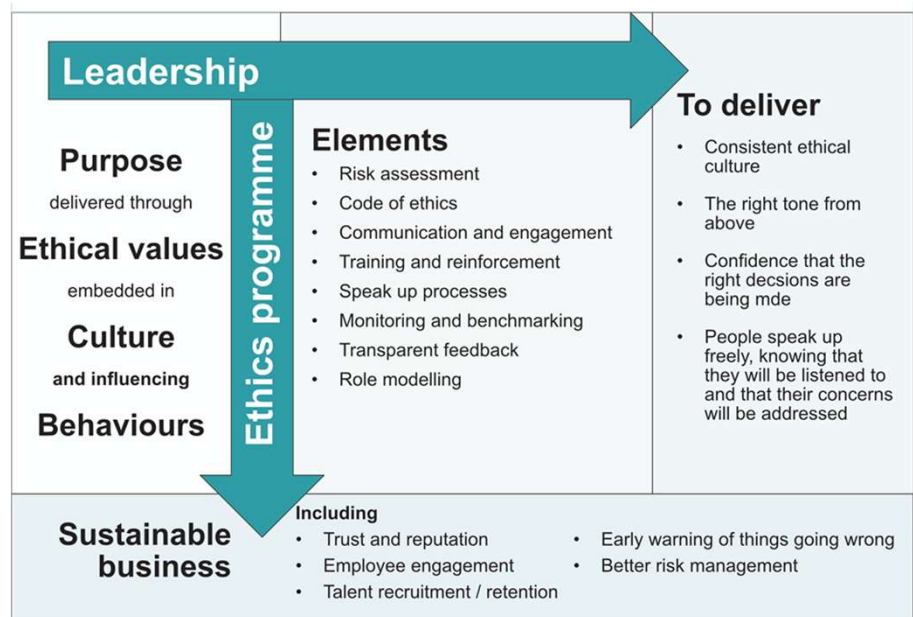
DISORDER





DISELGOOD'S 9 STEPS







UNETHICAL ISSUES

Examples of Unethical Issues in Financial Markets:

- Insider trading
- Market manipulation
- Unfair trading practices (Churning)
- Fraud
- Window dressing

VIDEO: UBS ROGUE TRADER -IT COULD HAPPEN AGAIN



The London trader who lost the Swiss bank UBS £1.4bn (\$1.9bn) has apologised and said that banking has not done enough to regain the public's trust. In his first broadcast interview, Kweku Adoboli told the BBC that banking was still riven by conflicts of interest. He added that traders were pushed to make profits "no matter what".

REGULATIONS

STANDARDS

COMPLIANCE

KEY FINANCIAL REGULATIONS & RULES

LAW

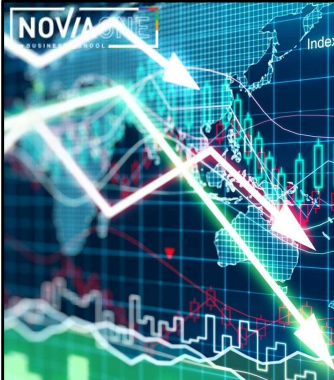
VIDEO: THE ROLE OF FINANCIAL REGULATIONS



CLASS DISCUSSION

- Do you think financial markets need to be regulated?
- Discuss the pros and cons of regulation in the financial market in South Africa.
- Conclude with your opinion on whether or not you feel the market will function better with or without regulation.





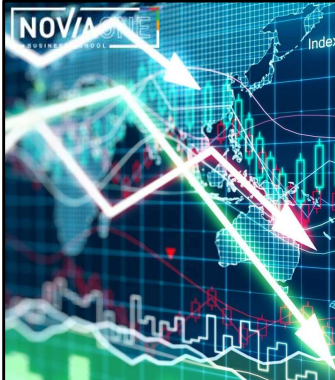
SOUTH AFRICAN LEGAL SYSTEMS

Common Law

The common law is a set of rules originating from social customs. Common law is not cast in stone, and it is developed over time through judicial precedent.

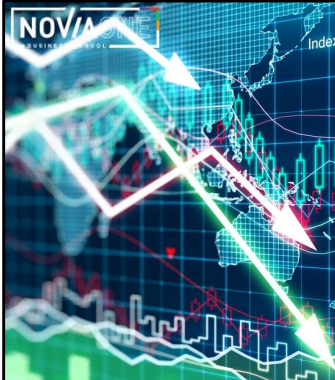
Civil Law

Civil law is distinct from common law in that it is not derived or developed by judges through the application of case law or judicial precedent.



SOURCES OF SOUTH AFRICAN LAW

- The Constitution
- Legislation, also known as statutes
- Judicial precedent, meaning case law
- Common law
- International law
- Indigenous law, also referred to as customary law



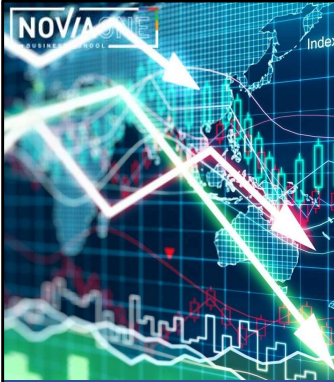
ACTS vs REGULATIONS

Act: a law that binds everyone in SA to whom it is applicable; passed by Parliament

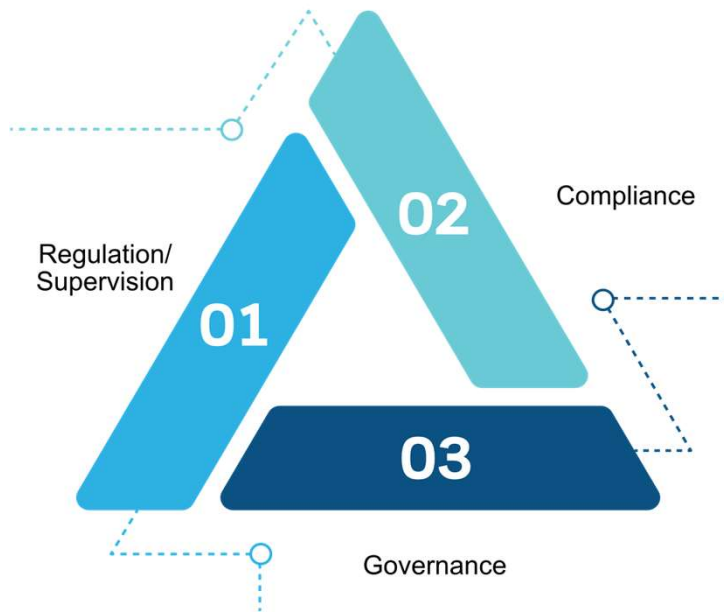
E.g., Constitution of the Republic of South Africa No.8 of 1996; Pension Fund Act No.24 of 1956; Financial Intelligence Centre Act No. 38 of 2001

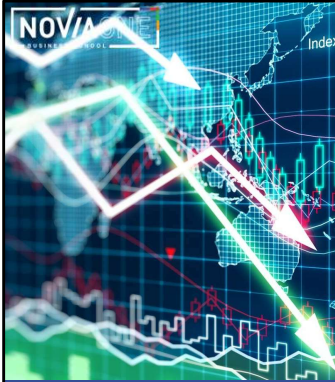
Regulations: also bind everyone, but they are made under an Act.

They complete detailed procedures left out in an Act
Enforced by agencies established or appointed by Govt (e.g. FSCA, SARB, FIC)

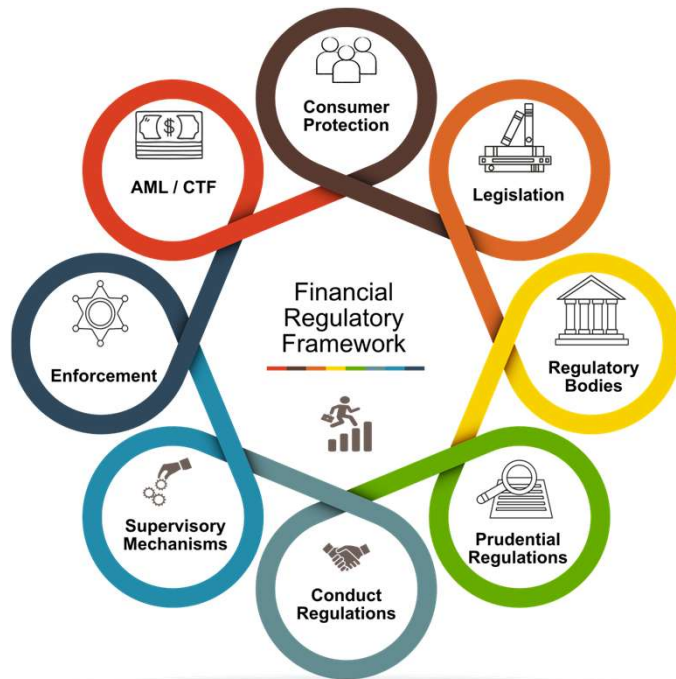


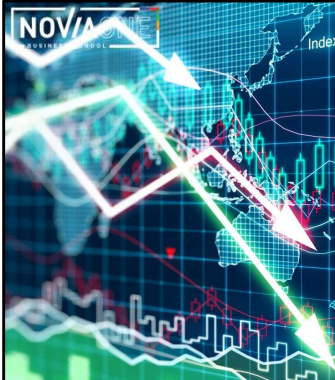
REGULATION / SUPERVISION, COMPLIANCE & GOVERNANCE





FINANCIAL REGULATORY FRAMEWORK COMPONENTS





PRIMARY REGULATORS

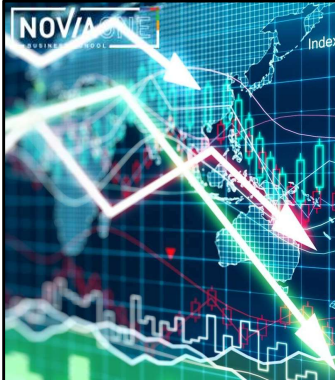
The two primary regulators in the financial sector:

Financial Sector Conduct Authority (FSCA):

FSCA regulates all financial institutions e.g. pension funds, insurance companies etc.

South African Reserve Bank (SARB):

SARB is the regulator of banks and also monitors adherence to exchange control regulations.



SELF- REGULATORY ORGANISATIONS (SROs)

Under the supervision of the central regulator.

Advantage:

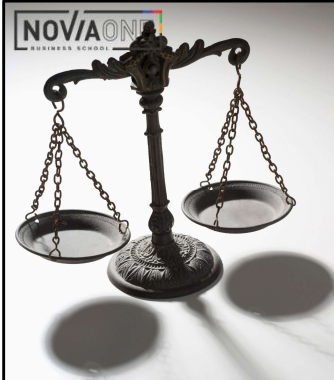
- May offer expertise regarding market operations
- Able to respond more quickly than other bodies to changing market conditions.
- Have requirements with regard to qualifications, experience and ethics that may exceed the requirements of the regulator.

In South Africa, JSE Ltd operates as an SRO.

All regulators are to be operationally independent of political – or commercial interference.

Regulators are accountable to the government.

SROs are accountable to regulators.



THE TWIN PEAKS MODEL

- Approval of the Model
- Implementation of the FSR Act
- Handling Industry Transformation
- Harmonisation of Regulations

Approval of the Model

In June 2011, the South African Cabinet approved the Twin Peaks model to enhance regulation of financial institutions and market infrastructures.

- Cabinet approval document
- Initial framework outline

Implementation of the FSR Act

The Financial Sector Regulation (FSR) Act was signed into law on 21 August 2017, establishing the PA and FSCA as key regulators in the Twin Peaks model.

- FSR Act documentation
- Roles of PA and FSCA

Phased Implementation

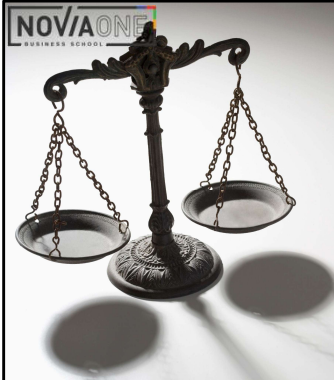
The transition to the Twin Peaks model is phased, starting with the establishment of the PA and FSCA to enhance financial oversight.

- Operational framework for PA and FSCA
- Timeline for implementation

Harmonisation of Regulations

The next phase focuses on harmonising legal frameworks for prudential and market conduct regulations across the financial sector.

- Legal framework harmonisation plan
- Compliance guidelines for institutions



REGULATORY FRAMEWORK AND TWIN PEAKS MODEL

- Twin Peaks Model
- Prudential Authority
- FSCA
- Implementation Timeline

Twin Peaks Model

The Twin Peaks model enhances South Africa's financial regulation by establishing two regulatory authorities focusing on prudential and market conduct oversight.

- Overview of the model
- Establishment of regulatory bodies

Prudential Authority

The Prudential Authority operates under the SARB, overseeing banks and insurers to ensure their stability and soundness in the financial system.

- Regulatory oversight for institutions
- Ensuring financial soundness

FSCA

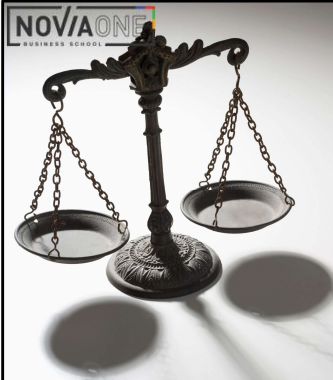
The FSCA supervises market conduct, protecting consumers and promoting fairness in financial transactions to prevent misconduct.

- Consumer protection mechanisms
- Standards for financial conduct

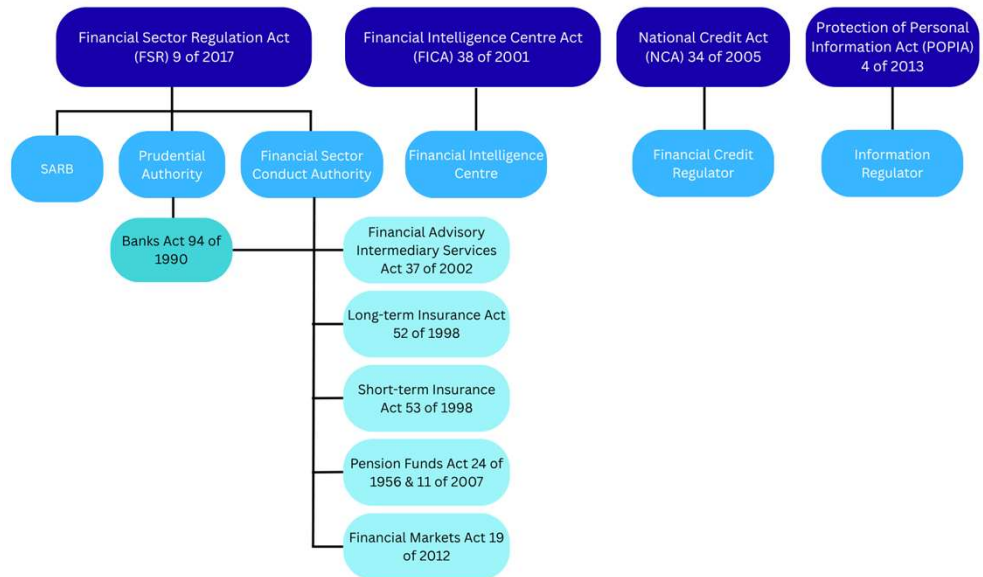
Implementation Timeline

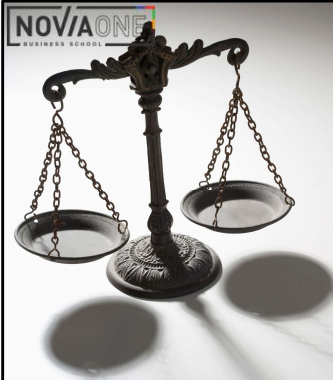
The Twin Peaks model began with the Prudential Authority on April 1, 2018, followed by the FSCA on April 1, 2019, marking a regulatory shift.

- Timeline of changes
- Key milestones in implementation

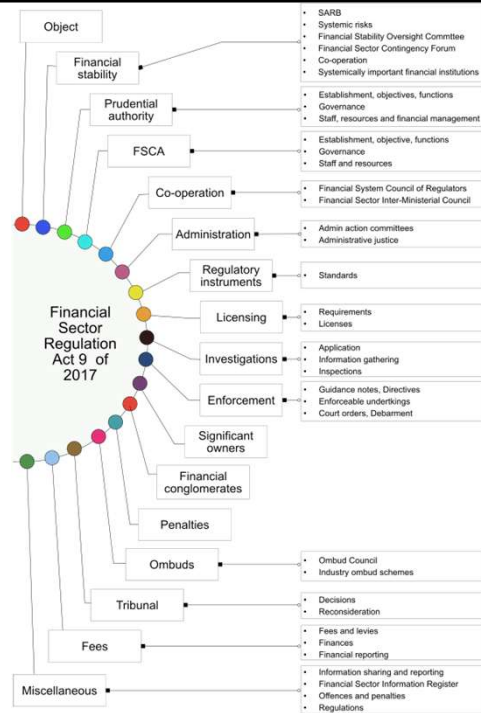


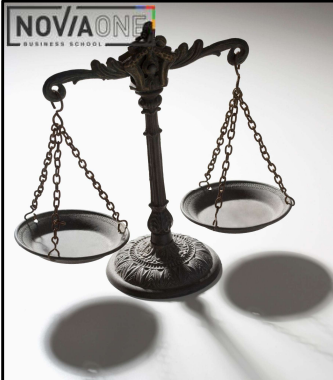
FINANCIAL REGULATIONS



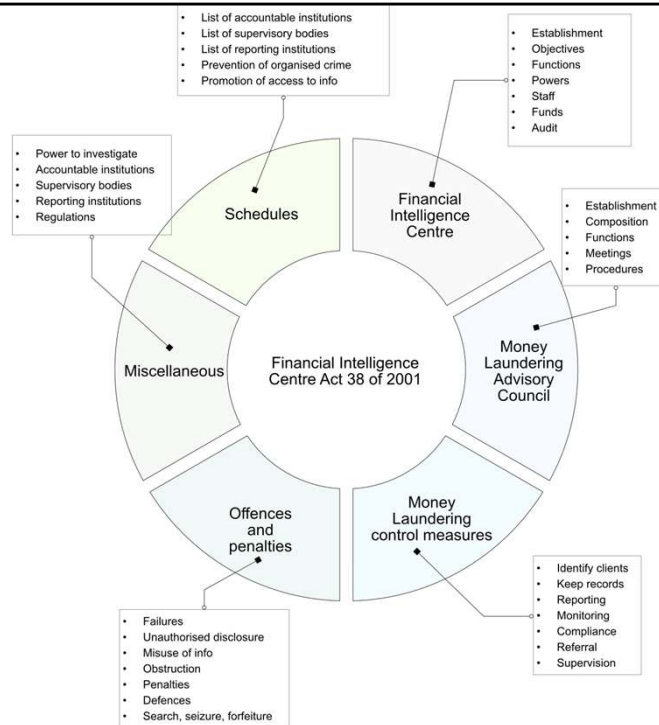


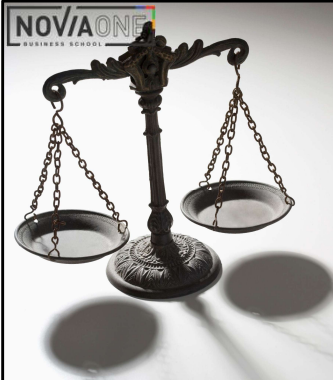
FSR ACT 9 OF 2017



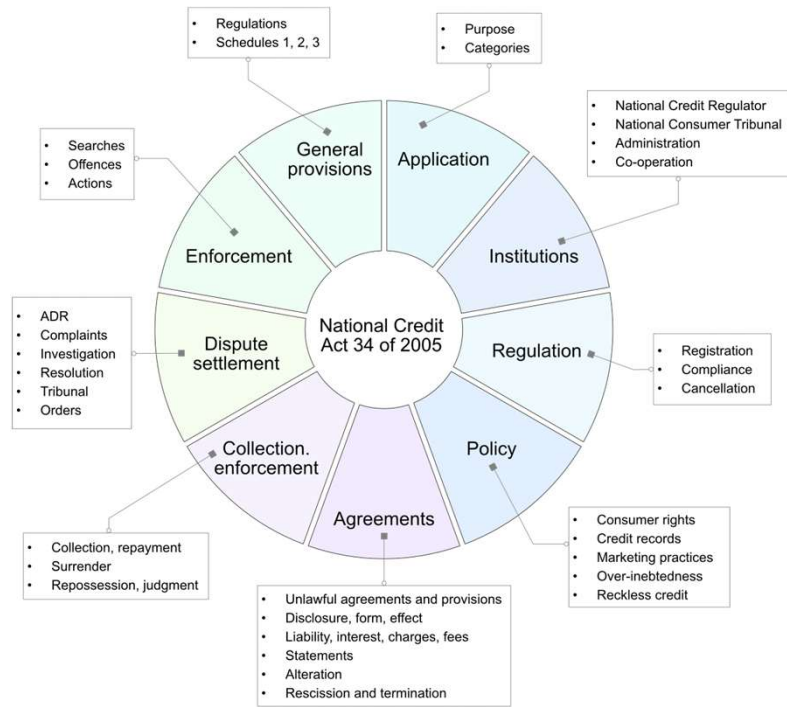


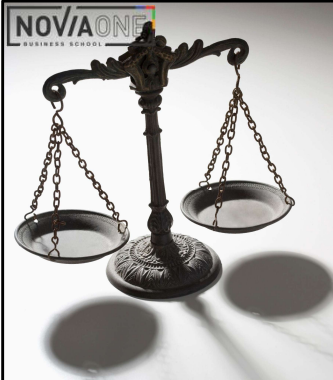
FIC ACT 38 OF 2001



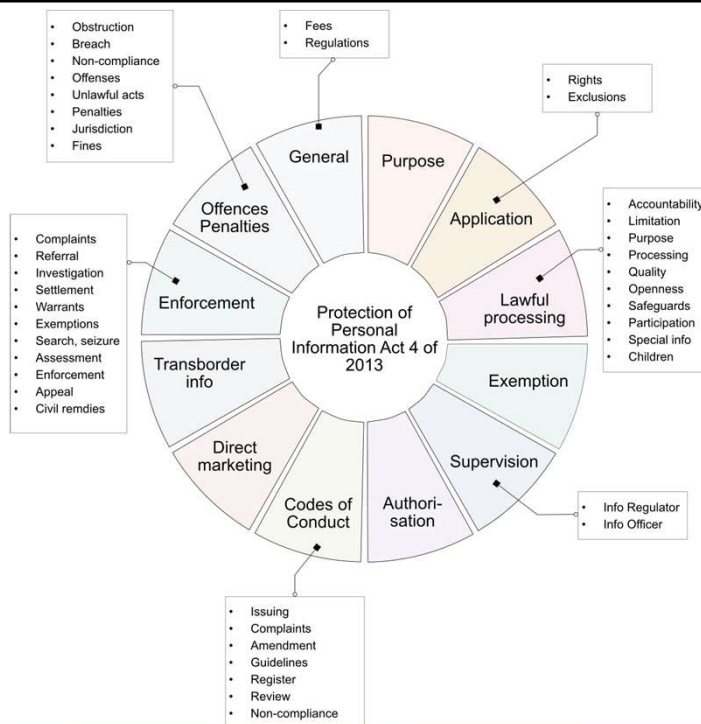


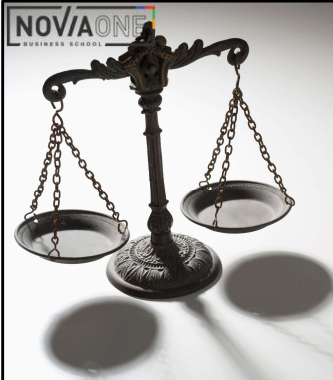
NCA 34 OF 2005



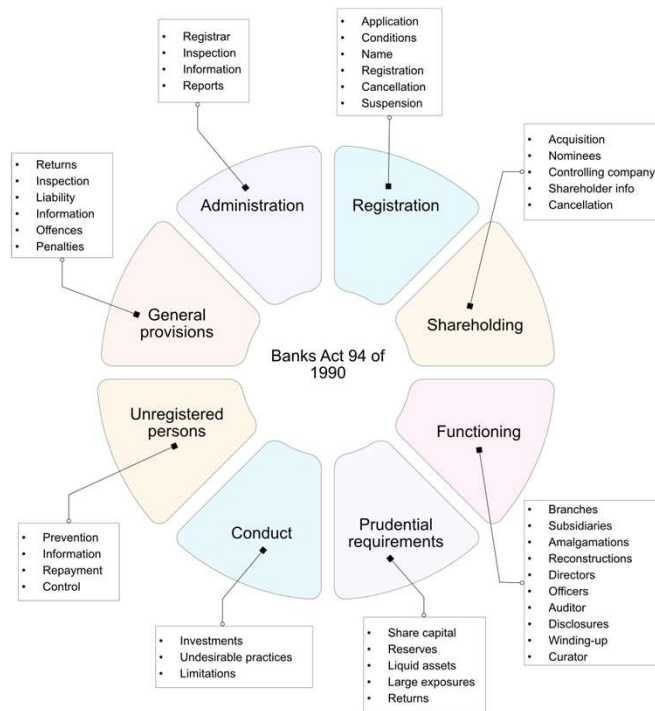


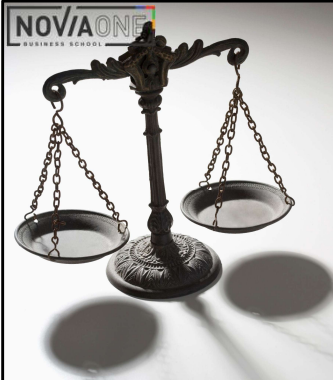
POPIA 4 OF 2013



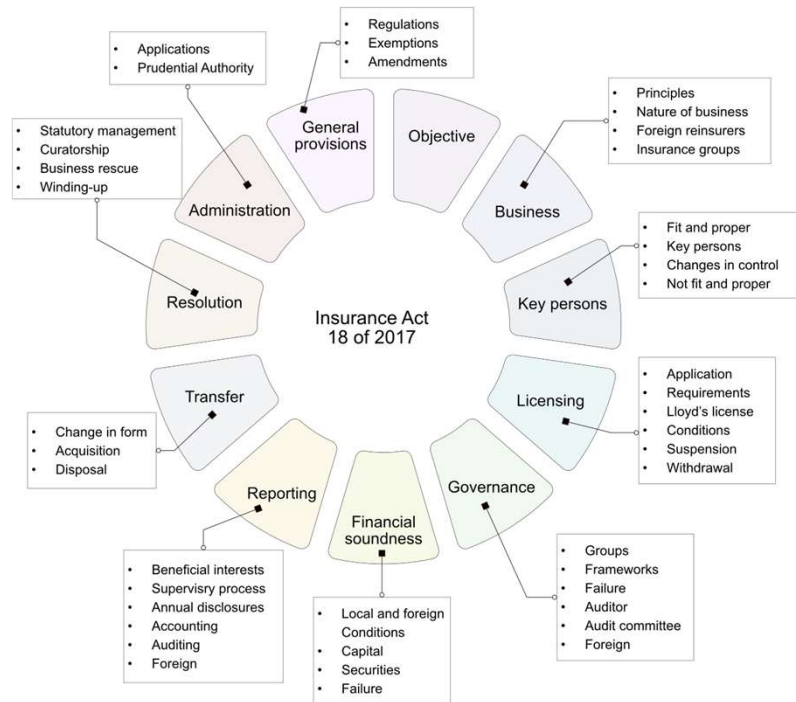


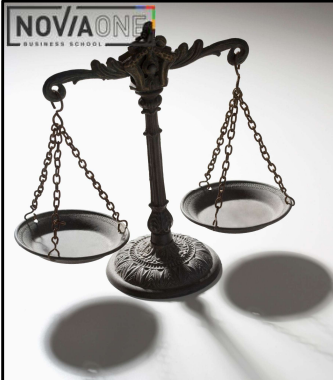
BANKS ACT 94 OF 1990



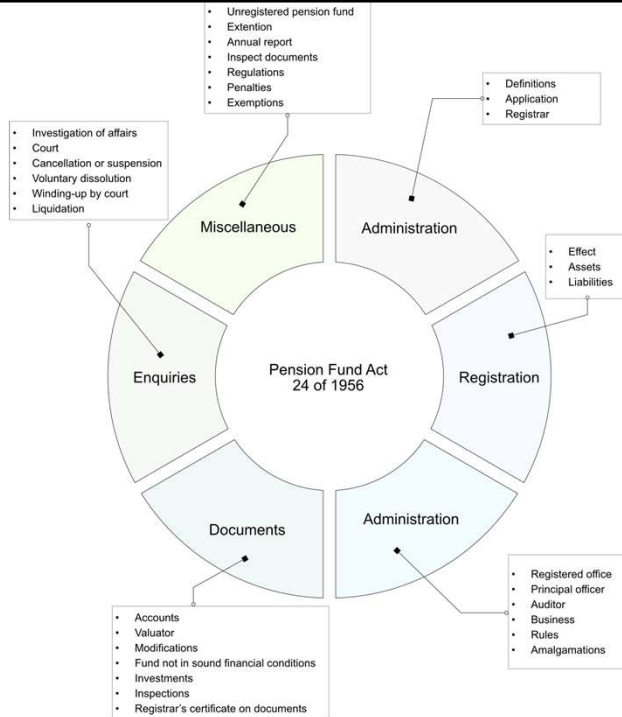


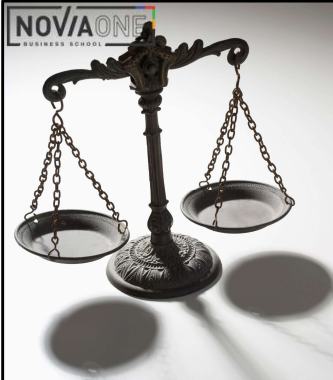
INSURANCE ACT 18 OF 2017



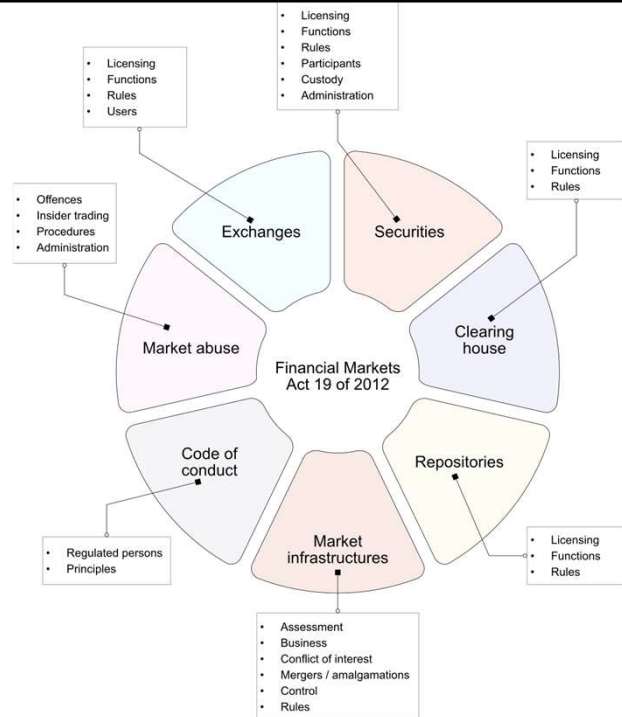


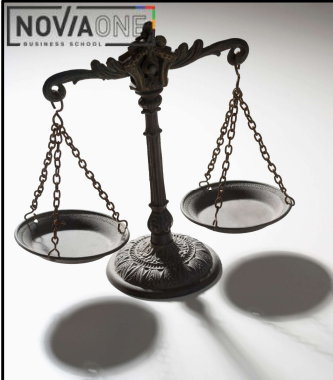
PENSION FUNDS ACT 24 OF 1956 AND 11 OF 2007



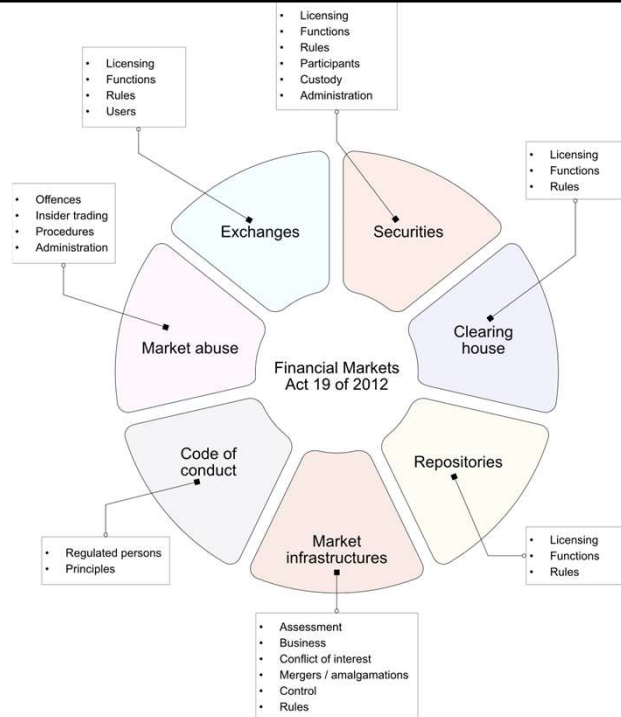


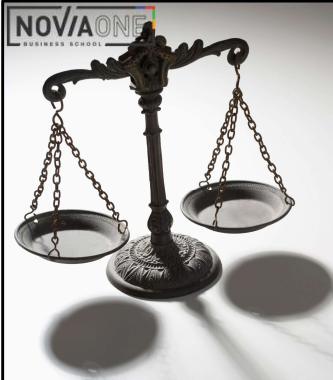
FINANCIAL MARKETS ACT 19 OF 2012



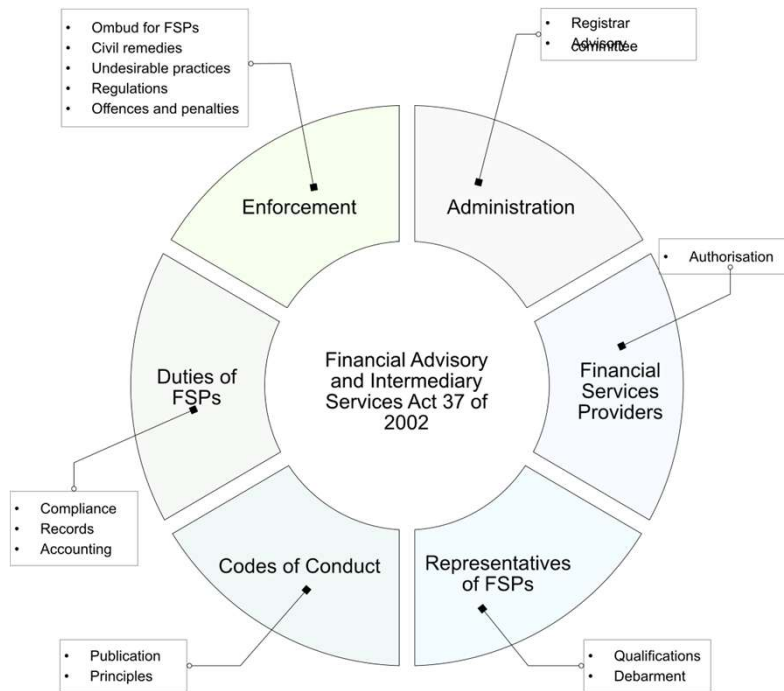


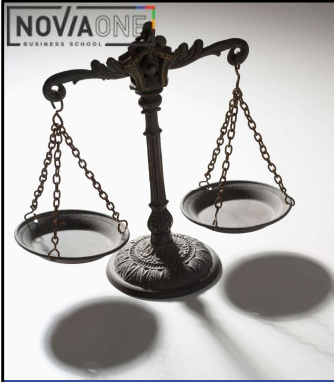
FINANCIAL MARKETS ACT 19 OF 2012



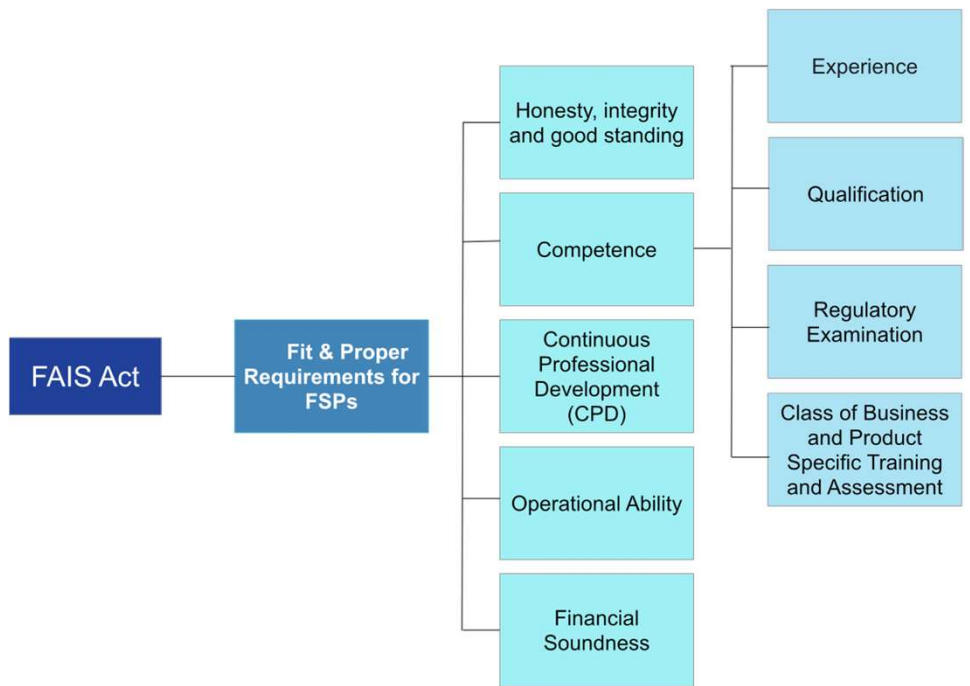


FAIS ACT 37 OF 2002





BOARD NOTICE 194 OF 2017





INTERNAL CONTROL MEASURES

- Segregation of duties
- Approval hierarchies
- Periodic audits

Segregation of Duties

Dividing responsibilities among different individuals to reduce the risk of fraud and error. For example, one person may handle transactions while another reviews and approves them.

Approval Hierarchies

Establishing a structured chain of authority for financial transactions to ensure that all expenditures and financial commitments are authorised by designated personnel.

Periodic Audits

Regular assessments of financial practices and controls to ensure compliance with regulations and identify areas for improvement. Helps in detecting discrepancies early.



RISK MANAGEMENT IN REGULATION

Financial Exposure Limits

- Regulatory bodies set limits on financial exposures to mitigate risks.
- Limits are determined based on the type of financial institution and market conditions.
- Institutions must monitor and report their exposure to ensure compliance.

Hedging Strategies

- Hedging is used to offset potential losses in investments or transactions.
- Regulations often require institutions to disclose their hedging activities.
- Effective hedging strategies can protect against market fluctuations and enhance stability.



COMPLIANCE AND REGULATORY ADHERENCE

- Adherence to tax laws involves ensuring accurate reporting and payment of taxes, which is essential for maintaining legal compliance and avoiding penalties.
- Anti-money laundering regulations require financial institutions to implement measures to detect and report suspicious activities, thus preventing criminal exploitation of the financial system.
- Compliance with policy standards set by regulatory bodies is crucial for organisations to maintain their licenses, ensure market integrity, and protect consumers.



TRANSACTION HANDLING IN REGULATION

- Processing payments
- Invoicing standards
- Documentation requirements
- Approval protocols

Processing Payments

Rules govern how payments should be processed to ensure accuracy and security, requiring verification and authorisation before transactions are completed.

Invoicing Standards

Invoices must comply with established standards, including clear itemisation of goods or services, pricing, and payment terms to ensure transparency.

Documentation Requirements

Proper documentation must be maintained for all transactions, including contracts, receipts, and correspondence, to facilitate audits and compliance checks.

Approval Protocols

Transactions often require multi-tiered approval processes to prevent fraud, ensuring that multiple individuals review and authorise significant expenditures.



TECHNOLOGY AND SYSTEMS IN REGULATION

- Cybersecurity measures
- Operational rules for financial software
- Disaster recovery protocols

Cybersecurity Measures

Implementing robust cybersecurity protocols to protect sensitive financial data, including encryption, firewalls, and intrusion detection systems.

Operational Rules for Financial Software

Establishing guidelines for the use of financial software, ensuring compliance with regulatory standards, and regular updates to maintain security.

Disaster Recovery Protocols

Creating comprehensive disaster recovery plans that include data backups, system redundancies, and recovery procedures to minimise downtime and data loss.



ETHICAL AND GOVERNANCE STANDARDS

- Code of conduct for financial employees
- Conflict-of-interest policies
- Whistleblowing procedures

Code of Conduct for Financial Employees

A code of conduct outlines expected behaviors, integrity standards, and ethical obligations of financial employees to maintain professionalism and trust.

Conflict-of-Interest Policies

These policies require employees to disclose any personal interests that may conflict with their professional duties, ensuring transparent and fair decision-making.

Whistleblowing Procedures

Whistleblowing procedures provide a safe avenue for employees to report unethical behaviour or violations without fear of retaliation, promoting accountability.



DISCLOSURE RULES

Required Information Disclosures

- Corporate issuers must disclose financial statements to ensure transparency for investors.
- Audited financial statements include balance sheets, income statements, and cash flow statements.
- Information on management, intended use of proceeds, and risk factors must also be provided.

Market Transparency Rules

- Regulators require dissemination of trading information to maintain a fair market environment.
- Disclosure triggers are set for significant shareholder activities and director dealings in shares.
- Timely reporting of material information is essential to prevent insider trading and ensure fair access for all investors.



SALES PRACTICE RULES

- Advertising standards
- Fee limits
- Information barriers

Advertising Standards

Regulators enforce advertising standards to prevent misleading claims about financial products, ensuring that all promotional materials accurately reflect the terms and risks associated.

Fee Limits

Regulatory bodies often impose limits on fees and commissions charged by financial service providers to protect consumers from excessive costs and promote fair competition.

Information Barriers

Firms must establish information barriers to prevent conflicts of interest, ensuring that sensitive information does not influence the sales practices of financial advisors.



TRADING RULES AND REGULATIONS

- Market standards
- Prevention of market manipulation
- Insider trading regulations
- Brokerage practices oversight

Market Standards

Regulators establish standards for trade execution, settlement timelines, and reporting requirements, ensuring all market participants adhere to consistent practices.

Prevention of Market Manipulation

Rules are in place to detect and penalise market manipulation, including practices such as wash trading and spoofing, to maintain market integrity.

Insider Trading Regulations

Strict regulations prohibit trading based on non-public information, requiring companies to implement policies that restrict access to sensitive data.

Brokerage Practices Oversight

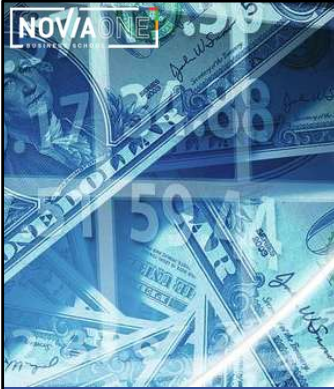
Regulators monitor brokerage firms to ensure fair practices, including transparency in fees and the prohibition of conflicts of interest in client transactions.

COMPLIANCE

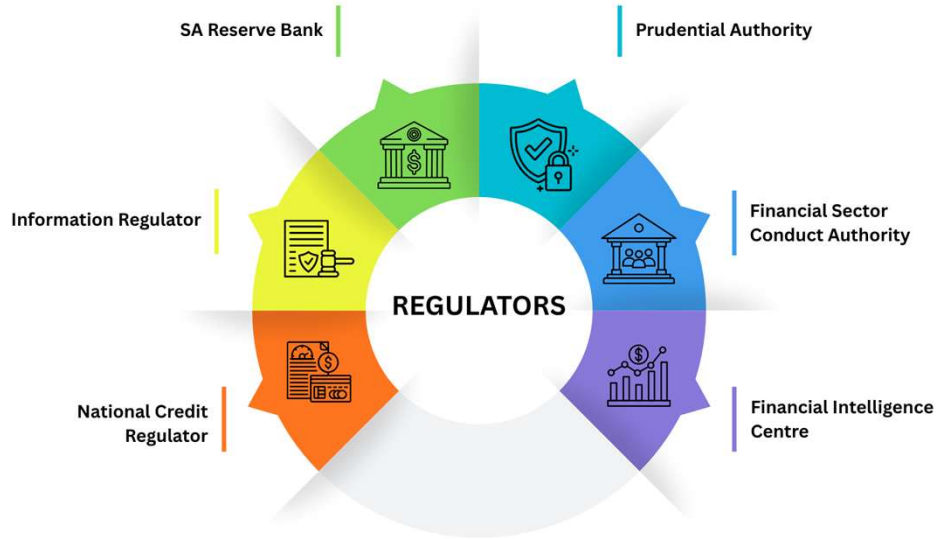
REGULATIONS

STANDARDS

SOUTH AFRICAN FINANCIAL REGULATORS

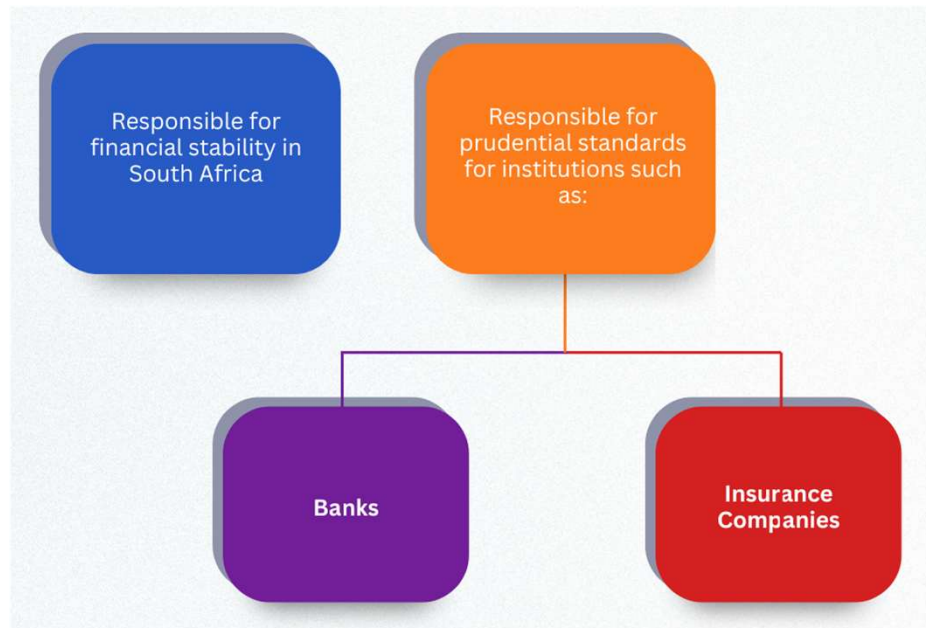


REGULATORS





SOUTH AFRICAN RESERVE BANK: PRUDENTIAL AUTHORITY



- The South African Reserve Bank (SARB) is responsible for bank regulation and supervision in South Africa and is our primary regulator.
- Its purpose is to achieve a sound, efficient banking system in the interest of the depositors of banks and the economy as a whole.
- This function is performed by issuing banking licenses to banking institutions and monitoring their activities in terms of the Banks Act and the regulations.



SOUTH AFRICAN RESERVE BANK

**FOREIGN
EXCHANGE
MANAGEMENT
BY SARB**

- Exchange Rate Policy
- Foreign Reserves Management

Exchange Rate Policy

- SARB manages a floating exchange rate system to allow market forces to determine currency value.
- Intervenes in the forex market to stabilise the Rand when necessary, addressing volatility.
- Maintains transparency in its forex interventions to build market confidence.

Foreign Reserves Management

- SARB oversees the management of South Africa's foreign currency reserves for economic stability.
- Reserves serve as a buffer against external shocks and support the country's balance of payments.
- Regular assessments ensure reserves are adequate to meet international obligations and support trade.



SOUTH AFRICAN RESERVE BANK

GOVERNANCE AND STRUCTURE OF SARB

- Board of Directors
- Shareholding Structure
- Independent Policy Determination

Board of Directors

The SARB's governance structure includes a Governor, Deputy Governors, and non-executive directors who provide oversight and strategic direction for the bank's operations,

Shareholding Structure

SARB is unique among central banks as it has private shareholders. However, their influence is limited, ensuring the bank operates independently from political pressures.

Independent Policy Determination

SARB's policies are determined independently, guided by its mandate to ensure price stability and financial stability, free from external influences.



SOUTH AFRICAN RESERVE BANK

MANDATE AND CHALLENGES OF SARB

Mandate of SARB

- Ensures price stability by keeping inflation within a target range of 3-6%.
- Supports economic growth by adjusting monetary policy when necessary, despite it not being its primary mandate.
- Maintains financial system stability by supervising financial institutions and mitigating systemic risks.

Challenges Faced by SARB

- Balancing inflation control with stimulating economic growth poses a significant challenge, especially during economic downturns.
- Concerns about independence arise, particularly regarding proposals for nationalisation which could impact decision-making.
- Managing exchange rate volatility is difficult due to external economic shocks, affecting the stability of the Rand.



NATIONAL TREASURY'S ROLE AND RESPONSIBILITIES

- Fiscal Policy Management
- Budgeting and Expenditure Control
- Revenue Collection Oversight
- Public Financial Management
- Economic Policy Development

Fiscal Policy Management

Formulates and implements fiscal policy to support economic growth and stability, ensuring efficient allocation of resources.

Budgeting and Expenditure Control

Allocates financial resources to government departments and monitors expenditure for compliance with national priorities.

Revenue Collection Oversight

Oversees revenue collection policies, working with the South African Revenue Service to improve tax efficiency and compliance.

Public Financial Management

Sets standards for sound financial management practices in government, ensuring adherence to the Public Finance Management Act.

Economic Policy Development

Conducts economic analysis and provides policy advice to promote

sustainable growth, collaborating on initiatives against poverty.

Anti-Corruption and Governance

Establishes systems to combat corruption, promoting good governance and transparency in public financial management.



FISCAL AND ECONOMIC POLICY MANAGEMENT

Fiscal Policy Management

- Formulates fiscal policy to support economic growth and stability.
- Prepares and presents the national budget outlining spending and revenue.
- Ensures macroeconomic stability by managing public debt and deficits.

Budgeting and Expenditure Control

- Allocates financial resources to government departments based on priorities.
- Monitors government spending for efficiency and effectiveness.
- Provides guidelines for budget preparation and compliance enforcement.



REVENUE COLLECTION AND PUBLIC DEBT MANAGEMENT

Oversight of Revenue Collection

- The National Treasury oversees the South African Revenue Service (SARS), ensuring efficient tax collection.
- Develops tax policies that promote equitable growth and maximise revenue generation.
- Implements strategies to enhance compliance and reduce tax evasion.

Management of Public Debt

- National Treasury manages national debt to ensure sustainability and cost-effectiveness.
- Issues government bonds to finance budget deficits while maintaining investor confidence.
- Monitors and regulates contingent liabilities to mitigate financial risks.

VIDEO: FAIS ACT





FINANCIAL SECTOR CONDUCT AUTHORITY (FSCA) OVERVIEW

Establishment of FSCA

- Established under the Financial Sector Regulation Act of 2017.
- Replaced the former Financial Services Board (FSB) to enhance regulatory effectiveness.
- Aims to promote fair treatment of financial customers across all sectors.

Key Roles of FSCA

- Regulates market conduct of financial institutions including banks and insurers.
- Ensures consumer protection by enforcing compliance with service standards.
- Promotes financial education to empower consumers in making informed decisions.

FSCA: INVESTMENT INSTITUTIONS DIVISION

- Capital markets department
- Directorate of market abuse
- Collective investment schemes department
- Credit rating services department
- Insurance division
- Retirement funds and friendly societies department
- Inspectorate department



CAPITAL MARKETS DEPARTMENT

- Supervises the exchange, CSD and clearing houses.
- JSE = licensed exchange operates in the equities market, equity derivatives market, commodity derivatives market, currency derivatives market and interest rate market.
- STRATE = CSD deals with settlement.
- Under FMA an exchange establishes, maintains and provides the infrastructure to bring together buyers and sellers of securities, matching their orders and creating transactions.
- CSD is licensed and supervised by the FSCA.
- FMA states that the registrar must issue a code of conduct that complies with the principles of the act and bind all of the authorised users, participants and clearing houses.
- This department ensures international compliance by participating in the IOSCO.



DIRECTORATE OF MARKET ABUSE

Department that exercises the powers granted by the FSCA to investigate and institute proceedings of insider trading, manipulative, improper, false or deceptive practices of trading, false or deceptive statements, promises and forecasts and enforces these rules if necessary.

- Members appointed by the Minister
- Legal
- Accounting
- Insurance
- Fund management
- Banking

Board of Directors

The SARB's governance structure includes a Governor, Deputy Governors, and non-executive directors who provide oversight and strategic direction for the bank's operations,

Shareholding Structure

SARB is unique among central banks as it has private shareholders. However, their influence is limited, ensuring the bank operates independently from political pressures.

Independent Policy Determination

SARB's policies are determined independently, guided by its mandate to ensure price stability and financial stability, free from external influences.



COLLECTIVE INVESTMENT SCHEMES DEPARTMENT

The Financial Sector Conduct Authority (FSCA) is the primary regulator for collective investment schemes in South Africa.

The FSCA ensures compliance with CISA, monitors the conduct of fund managers, and safeguards investor interests.

The FSCA is responsible for:

- Issuing licenses to fund managers and other entities involved in collective investment schemes.
- Monitoring the performance of CIS and investigating any irregularities or breaches of the Act.
- Enforcing transparency and disclosure requirements to ensure that investors have access to accurate and up-to-date information about their investments.



CREDIT RATING SERVICES DEPARTMENT

- Regulates credit rating agencies.
- These agencies assess and evaluate credit risk or likelihood of default associated with financial products.
- Credit Ratings Services Act (discussed later in detail) provides for the registration and regulation of these agencies.
- In line with ISCO to aid in limiting worldwide systematic risk.
- Ensure our laws are consistent with international efforts to improve accountability and fairness in the industry – international credit rating industries.



INSURANCE DIVISION

- Supervises long-term and short-term insurance according to legislation.
- Extensive disclosure is required for clients so that they are able to make an informed decision.



RETIREMENT FUNDS AND FRIENDLY SOCIETIES DEPARTMENT

Pension Funds Act requires retirement funds to register with the FSCA.

Members are entitled to certain benefits upon the occurrence of a certain event.

FSCA supervises retirement funds by:

- Registering the funds and approving their rules to ensure compliance with the guidelines in the act, including minimum withdrawal benefits.
- Analyse annual audited financial statements and ensure that the investments comply with the prudential investment guidelines.
- Analysing actuarial reports to ensure that the fund is able to meet its liabilities.
- Enforcing the payment of the contributions to the fund by the employers.
- Monitoring the enforcement of the prudential limits in terms of Regulation 28.



RETIREMENT FUNDS AND FRIENDLY SOCIETIES DEPARTMENT

Specific consumer protection measures include:

- Members are legally entitled to be represented on the board of trustees of a retirement fund. Ensures that they can negotiate their benefits.
- Internal complaints resolution procedure.
- Members are allowed to, by law, share in any surplus of the fund that may have accumulated as a result of higher returns.

Friendly societies Act – burial societies:

- Register funds and approve guidelines in accordance with the act.
- Analyse the audited financial statements and ensure that they comply with the prudential guidelines.



INSPECTORATE DEPARTMENT

- Operates in terms of the Inspection of Financial Institutions Act.
- Registrar may at any time order an inspection into the affairs of a financial institution if he believes that the institution is not registered or approved to carry on a business of a financial institution.
- He must ensure that the inspector will be able to report objectively and impartially.

The inspector may, with regards to an institution:

- Administer an oath and examine a person who is or was a director, servant, employee, partner, member or shareholder of the financial institution.
- Without prior notice, enter and search the premises of the institution and require the production of documents relating to the institution.
- Open any strong room or safe where he suspects documents are kept.
- Examine extracts and copies of documents and may even remove documents from the premises.
- Retain such seized documents for as long as they are required.
- On the completion of the inspection, the inspector must prepare a report and submit it to the registrar, who then submits it to the person who was subject to the inspection.
- Based on this report, the registrar will then decide on the enforcement actions that will be implemented.



INDUSTRY SUPERVISION AND MARKET STABILITY

- Supervision of Financial Institutions
- Ensuring Market Stability
- Handling Industry Transformation
- Promoting Inclusivity

Supervision of Financial Institutions

FSCA monitors compliance with laws governing banks, insurers, and investment firms, ensuring they adhere to market conduct regulations.

Ensuring Market Stability

FSCA works to enhance market integrity and confidence by preventing market abuses and promoting transparency across financial operations.

Handling Industry Transformation

FSCA encourages transformation within the financial sector to enhance inclusivity, addressing the needs of previously disadvantaged communities.

Promoting Inclusivity

FSCA implements initiatives under the Financial Sector Code to ensure equitable access to financial services for all South Africans.



COLLABORATION AMONG REGULATORS

The Financial Sector Conduct Authority (FSCA), South African Reserve Bank (SARB), and Prudential Authority (PA) work collaboratively to implement the Twin Peaks regulatory framework.

This cooperation ensures that both market conduct and prudential regulations are harmonised, providing comprehensive oversight of financial institutions.

By sharing information and aligning regulatory practices, these authorities enhance the overall stability and integrity of South Africa's financial system, fostering a safer environment for consumers and investors.

**THE FINANCIAL
ADVISORY AND
INTERMEDIARY
SERVICES (FAIS)
DIVISION**

Financial Services Providers (FSP) are licensed by the FSCA and must comply with prudential requirements, as well as have the necessary guarantees and professional indemnity funds available.

Categories of FSPs:

- Financial advisors and intermediaries who may NOT use discretion in the rendering of financial services.
- Intermediary services in terms of a mandate granting the FSP discretion regarding the choice of financial products and Hedge Fund Managers.
- Investment administrators specialising mainly in bulking collective investments on behalf of clients.
- Assistance business administrators

Aspects Covered by FAIS

- Only “fit and proper” persons will be licensed to conduct business.
- FSP has competency requirements which includes qualifications and experience.
- Maintain a compliance function that is exercised with due diligence, care and competency.
- FSP avoid and mitigate any conflicts of interests.
- FSP a conflict-of-interest policy.
- FSP must be solvent.
- Hold guarantees and professional indemnity insurance.
- Comply with operational requirements.
- Proper accounting records and must be audited annually.
- Submit an auditor’s report certifying the cash and assets held on behalf of clients.
- FSPs must comply with the general code of conduct in addition to the special code of conduct.
- Provision made for the establishment of the Ombudsman.
- Illegal to conduct business without the license.



KEY OBJECTIVES OF THE FAIS ACT

- Consumer Protection
- Regulatory Framework
- Professionalism in Financial Services

Consumer Protection

The FAIS Act aims to safeguard consumers by ensuring that financial advisors provide sound, unbiased, and suitable financial advice tailored to individual needs.

Regulatory Framework

It establishes a comprehensive regulatory framework that governs the conduct of financial service providers, ensuring they operate within legal and ethical boundaries.

Professionalism in Financial Services

The FAIS Act promotes high standards of professionalism and accountability among financial advisors, ensuring they are qualified and adhere to ethical guidelines.



KEY PROVISIONS OF THE FAIS ACT

- Licensing of Financial Service Providers
- Fit and Proper Requirements
- Disclosure and Transparency
- Supervision by the FSCA

Licensing of Financial Service Providers

All individuals and entities providing financial services must be licensed by the Financial Sector Conduct Authority (FSCA), ensuring regulatory compliance.

Fit and Proper Requirements

Financial service providers must meet specific competency, honesty, and financial soundness criteria to qualify for licensing.

Disclosure and Transparency

Advisors must provide clear disclosures regarding their qualifications, service nature, fees, and potential conflicts of interest to clients.

Supervision by the FSCA

The FSCA monitors compliance, enforces regulations, and can impose penalties for breaches of the FAIS Act, ensuring industry integrity.



- Full-Service Securities Exchange
- Connecting Buyers and Sellers
- Regulatory Role

INTRODUCTION

Full-Service Securities Exchange

The Johannesburg Stock Exchange (JSE) is South Africa's only full-service securities exchange, facilitating trading across multiple financial markets.

Connecting Buyers and Sellers

JSE connects buyers and sellers across five financial markets: equities, equity derivatives, commodity derivatives, currency derivatives, and interest rate instruments.

Regulatory Role

JSE serves as the frontline regulator, setting listing requirements and enforcing trading rules, while being supervised by the Financial Sector Conduct Authority (FSCA).



THE JOHANNESBURG STOCK EXCHANGE

The JSE currently acts as the frontline regulator, setting listings requirements and enforcing trading rules, while the financial sector conduct authority (FSCA), supervises the JSE in the commission of its regulatory duties.

- As the JSE has no criminal or civil jurisdiction, the FSCA also processes any cases where legislation has been contravened.
- South Africa was ranked third in the world in terms of the regulation of securities exchanges in the World Economic Forum's Global Competitiveness Survey for 2016 - 2017.
- This is an accolade for both the JSE and its regulators.



MARKET FUNCTIONS AND SERVICES OF JSE

- Equity Market
- Bond Market
- Derivatives Market
- Commodities Market

Equity Market

Facilitates buying and selling of shares in listed companies, allowing investors to trade shares of major South African and international firms.

Bond Market

Provides a platform for trading government and corporate bonds, offering investors fixed-income investment options and portfolio diversification.

Derivatives Market

Offers a variety of derivatives such as futures and options on equities, bonds, interest rates, currencies, and commodities for risk management.

Commodities Market

Enables trading in commodities like precious metals and agricultural products through derivative instruments, enhancing market liquidity.

JSE

CAPITAL RAISING AND LISTINGS

JSE's Role in Capital Raising

- The JSE provides a platform for companies to raise capital through equity and debt offerings.
- Companies can access funding by listing shares or issuing bonds to investors.
- Listing on the JSE enhances a company's visibility and credibility in the market.

Listing Requirements for Companies

- Local companies must meet specific financial and governance standards to list on the JSE.
- International companies can pursue dual listings, adhering to both JSE and their home market regulations.
- Strict compliance with corporate governance and transparency standards is enforced for all listed entities.



MARKET REGULATION AND INVESTOR PROTECTION

- The Johannesburg Stock Exchange (JSE) operates as a Self-Regulatory Organisation (SRO), ensuring compliance with established regulations to maintain market integrity.
- JSE implements strict trading rules and listing requirements to protect investors from market manipulation and insider trading.
- The exchange has systems in place for monitoring trading activities, which help detect irregularities and promote fair trading practices.
- Investor protection mechanisms include a transparent T+3 settlement system, ensuring timely and secure transaction settlements for all trades.
- JSE collaborates with the Financial Sector Conduct Authority (FSCA) to enforce regulations and safeguard investor interests.

JSE

TECHNOLOGY
AND TRADING
SYSTEMS

- Electronic Trading Systems
- Surveillance Systems
- Data Feeds and Analytics

Electronic Trading Systems

JSE utilises advanced electronic trading platforms that facilitate high-speed transactions, ensuring efficient price discovery and execution for market participants.

Surveillance Systems

Robust surveillance systems are implemented to monitor trading activities, detect irregularities, and maintain market integrity, preventing instances of market manipulation.

Data Feeds and Analytics

Provides real-time data feeds and market analytics to investors, enhancing decision-making processes and fostering a transparent trading environment.



INDICES AND MARKET BENCHMARKS

- FTSE/JSE Top 40 Index
- All Share Index (ALSI)
- FTSE/JSE Africa Index Series
- Importance of Indices

FTSE/JSE Top 40 Index

This index tracks the 40 largest companies listed on the JSE by market capitalisation, providing insight into the performance of major sectors in the South African economy

All Share Index (ALSI)

The ALSI represents the performance of all shares listed on the JSE, serving as a comprehensive benchmark for overall market performance.

FTSE/JSE Africa Index Series

This series includes various indices that represent sectors and regions within Africa, offering investors diverse options for tracking market performance.

Importance of Indices

Indices serve as vital benchmarks for investors, providing a standard for measuring portfolio performance and guiding investment strategies.



INVESTMENT AND ECONOMIC ROLE OF JSE

The Johannesburg Stock Exchange (JSE) plays a pivotal role in facilitating both domestic and international investment in South African assets. By providing a platform for companies to raise capital through equity and debt listings, the JSE supports business growth and expansion.

Additionally, the JSE enhances economic development by connecting local businesses with global investors, thereby attracting foreign direct investment that fuels job creation and stimulates economic activity. The exchange serves as a barometer of economic health, reflecting investor sentiment and influencing policy discussions on economic strategies.



CORPORATE GOVERNANCE AND RESPONSIBILITY

- Setting Governance Standards
- Promoting Sustainable Practices
- Support for SMEs

Setting Governance Standards

JSE establishes corporate governance standards aligned with the King IV Report principles, ensuring transparency and accountability among listed companies.

Promoting Sustainable Practices

Encourages companies to adopt sustainable business practices, including environmental, social, and governance (ESG) criteria in their operations.

Support for SMEs

Provides platforms and resources for small- and medium-sized enterprises (SMEs) to access capital markets, fostering inclusivity and economic transformation.

JSE

INVESTOR EDUCATION AND AWARENESS

Educational Programs

- JSE conducts workshops and seminars to enhance financial literacy among investors.
- Programs cover topics such as trading strategies, risk management, and investment opportunities.
- Collaborates with schools and universities to integrate financial education into curricula.

Corporate Social Responsibility Initiatives

- Supports community development projects aimed at empowering underprivileged groups.
- Promotes access to capital markets for small and medium enterprises (SMEs).
- Engages in initiatives to raise awareness about sustainable investing.



Financial
Intelligence Centre

The FICA Act aims to prevent financial crimes and enhance the integrity of the financial system.

FICA ACT

The FICA Act's objectives include preventing money laundering, combating terrorism financing, ensuring transaction transparency, and promoting compliance with international standards. This framework protects the financial system from illicit activities, supporting overall financial security.

Financial
Intelligence Centre

FICA PROVISIONS AND REQUIREMENTS

- Customer Due Diligence (CDD)
- Suspicious Transaction Reporting
- Risk-Based Approach
- Record Keeping

Customer Due Diligence (CDD)

FICA mandates that institutions conduct thorough customer due diligence to verify the identities of their clients, assess risks, and monitor transactions for suspicious activity.

Suspicious Transaction Reporting

Entities must report any suspicious or unusual transactions to the Financial Intelligence Centre (FIC) to aid in the prevention of money laundering and terrorism financing.

Risk-Based Approach

FICA requires financial institutions to adopt a risk-based approach to identify, assess, and manage risks associated with clients and transactions, enhancing compliance efforts.

Record Keeping

FICA necessitates that businesses maintain detailed records of their customer information and transaction histories for a specified period to facilitate audits and investigations.



NATIONAL CREDIT REGULATOR (NCR)

The NCR is tasked with the registration of credit providers, credit bureau and debt counsellors; and with the enforcement of compliance with the Act.

The National Credit Regulator has to:

- Research the credit market and monitor access to credit and the cost of credit to identify factors that may undermine access to credit, competitiveness and consumer protection.
- Receive and investigate complaints and ensure that consumer rights are protected.
- Enforce the Act and take action against contravening institutions.

The National Credit Regulator (NCR) was established as the regulator under the National Credit Act No. 34 of 2005 (The Act) and is responsible for the regulation of the South African credit industry. It is tasked with carrying out education, research, policy development, registration of industry participants, investigation of complaints, and ensuring the enforcement of the Act.

The Act requires the Regulator to promote the development of an accessible credit market, particularly to address the needs of historically disadvantaged persons, low-income persons, and remote, isolated or low-density communities.



KEY OBJECTIVES OF POPI

- Safeguarding Personal Information
- Accountability
- Regulating Processing Activities
- Empowering Individuals
- Promoting Transparency
- Encouraging Best Practices

Safeguarding Personal Information

POPI aims to protect personal information from unauthorised access, ensuring individuals' privacy rights are respected and upheld.

Accountability

Organisations are held accountable for compliance with POPI, ensuring they implement necessary measures to protect personal data.

Regulating Processing Activities

The Act provides clear guidelines on how personal information should be collected, processed, and stored to ensure lawful handling.

Empowering Individuals

The Act empowers individuals with rights regarding their personal data, allowing them to access and rectify their information.

Promoting Transparency

POPI mandates that individuals are informed about how their information is used, enhancing trust between organisations and data subjects.

Encouraging Best Practices

POPI encourages organisations to adopt best practices in data management, contributing to overall data protection and security.



POPI AND FINANCIAL ADVISORS

- Financial advisors must implement strict data protection policies to comply with POPI, ensuring that personal information of clients is collected, processed, and stored securely.
- Advisors are responsible for appointing an Information Officer who oversees compliance with data protection laws and manages risks associated with personal data handling.
- Regular training for staff on POPI compliance is essential, promoting awareness of data protection practices and the legal obligations concerning client information.



IMPACT OF POPIA

Impact on Businesses

POPIA requires businesses to implement stringent data protection measures, leading to enhanced data governance practices. Companies must ensure compliance to avoid penalties, fostering a culture of accountability.

Impact on Consumers

Consumers gain greater control over their personal information, ensuring transparency in how their data is used. POPIA empowers individuals with rights to access and correct their data, enhancing consumer trust.

Impact on the Economy

The Act aligns South Africa with global data protection standards, promoting international business relationships. Improved data governance can attract investment, boosting the economy through increased consumer confidence.

Basel III

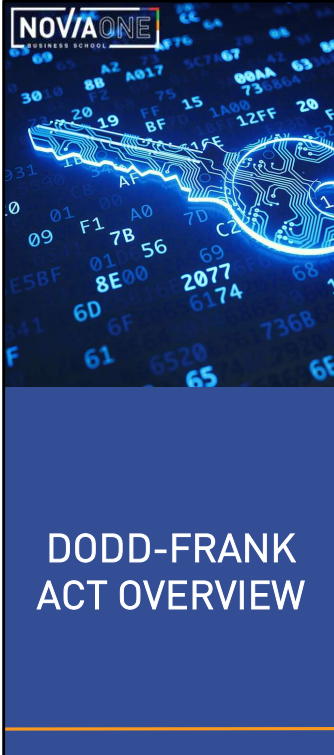
BASEL III REGULATIONS



INTRODUCTION TO BASEL III

Basel III is an international regulatory framework established to enhance the stability of the banking sector. It was developed in response to the 2007-2008 financial crisis, aiming to improve regulation, supervision, and risk management among banks.

The primary goals of Basel III include ensuring that banks maintain adequate capital levels, improving risk management practices, and increasing transparency in financial reporting.



Goals of the Dodd-Frank Act

The Dodd-Frank Act aims to protect taxpayers by eliminating bailouts, enhancing accountability and transparency in the financial system, and safeguarding investors from fraud.

Key Components

The Act includes provisions to monitor systemic risks, regulate derivatives, oversee credit rating agencies, and restrict banks from using deposits for speculative trading.

Impact on Financial Stability

By addressing the weaknesses exposed during the 2008 financial crisis, the Dodd-Frank Act enhances the stability of financial institutions and reduces the risk of future crises.



BASEL III CAPITAL REQUIREMENTS

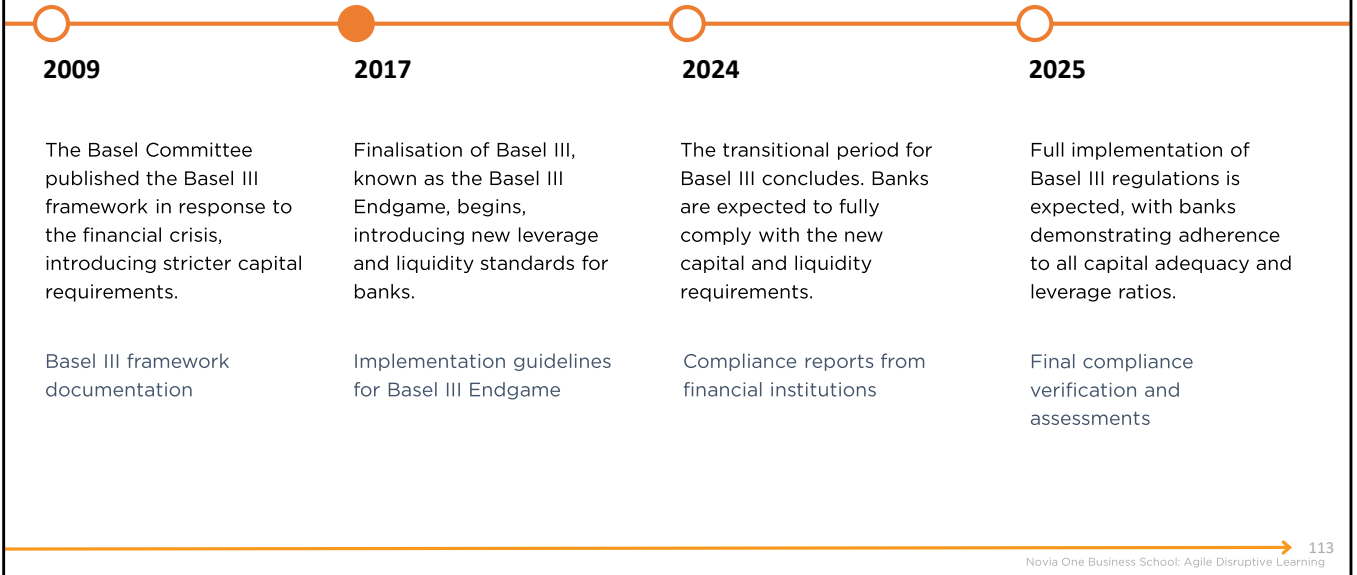
Significance of Tier 1 Capital

- Tier 1 capital includes core capital like equity and reserves.
- It is essential for absorbing losses during financial stress.
- Regulatory minimum requirement is 4% of risk-weighted assets.

Role of Tier 2 Capital

- Tier 2 capital consists of supplementary capital, less secure than Tier 1.
- Includes instruments like subordinated debt and undisclosed reserves.
- Regulatory minimum requirement is 2% of risk-weighted assets.

IMPLEMENTATION TIMELINE OF BASEL III





- Enhancing Transparency
- Mitigating Credit Risk
- Reducing Operational Risk

Enhancing Transparency

EMIR mandates reporting of all derivatives contracts to trade repositories, ensuring detailed information is available to supervisory authorities for better market oversight,

Mitigating Credit Risk

EMIR requires standardised OTC derivatives to be centrally cleared through central counterparties (CCPs), reducing counterparty risk and enhancing financial stability.

Reducing Operational Risk

Market participants must monitor and mitigate operational risks associated with derivatives trading, employing electronic means to confirm contract terms and prevent errors.



THE SCOPE OF EMIR

- Over-the-Counter Derivatives
- Financial Counterparties (FCs)
- Central Counterparties (CCPs)
- Non-Financial Counterparties (NFCs)
- Trade Repositories (TRs)
- Reporting Requirements

Over-the-Counter Derivatives

EMIR applies to all over-the-counter (OTC) derivatives, requiring them to be reported and cleared to manage risk.

Financial Counterparties (FCs)

EMIR applies to financial institutions involved in derivative trading, requiring compliance with reporting and risk mitigation rules.

Central Counterparties (CCPs)

CCPs must adhere to stringent regulatory requirements, ensuring they can manage risks associated with derivative transactions.

Non-Financial Counterparties (NFC's)

NFCs are also subject to EMIR, particularly when engaging in significant derivative activities, ensuring they meet specific obligations.

Trade Repositories (TRs)

Entities must report all derivative contracts to TRs, ensuring comprehensive oversight and data accessibility for regulators.

Reporting Requirements

Entities must report all derivative contracts to TRs, ensuring comprehensive oversight and data accessibility for regulators.



FOREIGN ACCOUNT TAX COMPLIANCE ACT (FATCA)

- FATCA aims to enhance tax compliance by requiring foreign financial institutions to report information about financial accounts held by U.S. taxpayers.
- The act mandates that South African financial institutions must submit annual reports to the South African Revenue Service (SARS) regarding accounts tied to U.S. persons.
- Failure to comply with FATCA can result in significant penalties, including a 30% withholding tax on certain U.S. payments to non-compliant institutions.
- The intergovernmental agreement (IGA) between South Africa and the IRS facilitates the exchange of information, increasing transparency for U.S. investments abroad.
- This compliance requirement impacts how South African banks and investment firms manage customer accounts and report financial data.

ANNEXURE

SA Economy

Market-oriented implying minimum intervention by the authorities

Market imperfection implies regulation is required

OTC instruments are not regulated because they trade on wholesale basis, that is trade between knowledgeable persons.

Example of such instruments:

- Options
- Forwards
- Money market instruments

Retail instruments are regulated to protect investors as members of the public are less knowledgeable about investments.



GENERAL PRINCIPLES OF REGULATION

- Market orientated approach to the economy – minimum intervention by authorities to achieve the highest efficiency with regard to the allocation of resources
- Market imperfections do occasionally arise and intervention by authorities is justified by way of regulation. Government creates regulatory authorities and authorises them to influence the economy according to government policy.
- BUT all regulation comes with a cost – must make sure that the economy is not adversely affected
- Not all sections of the economy are regulated – OTC*
- Instruments trade between knowledgeable persons and large institutions, therefore it may not always be necessary
- Regulation is necessary when the public is involved in order to ensure that they are protected – no provider of financial services in South Africa should operate outside of the regulatory parameter.

GENERAL PRINCIPLES OF REGULATION

- In South Africa there are separate Acts for each industry or even a part of an industry.
- These Acts generally make provision for regulations, conditions, notices, codes of conduct or other pieces of subordinate legislation to be issued.
- All legislation, whether it is an Act of parliament or subordinate legislation, is subject to a comprehensive process of consultation with industry associations, consumer organisations and other stakeholders.
- The drafting process will often include participation by regulated firms to provide the necessary expertise with regard to the operation of the industry.

GENERAL PRINCIPLES OF REGULATION

- Regulatory authority sometimes forms part of government and other times they are an independent agency
- Financial Sector Conduct Authority (FSCA) which regulates the non-banking sector of the financial markets in SA, are independent of government and report to the National Treasury
- Self Regulatory Organisations (SRO) operate under the supervision of the regulator – experts, respond quicker to changing market conditions – they have requirements with regards to expertise, ethics and experience that may exceed the regulator
- In SA, the Johannesburg Stock Exchange is a SRO



OBJECTIVES OF REGULATION

- Protect consumers and investors
- Ensure solvency and financial soundness of country's financial institutions
- Promote fairness, efficiency and transparency in securities markets
- Promote a stable Financial System by monitoring, mitigating and managing systematic risk

Inappropriate regulation inhibits market growth, development and stifles competition

- Barriers to entry and exit from markets should be kept to min
- Cost to economy should be known – benefits > cost
- Restrictions and requirements create level playing field

Regulation should facilitate capital formation and economic growth



OBJECTIVES OF REGULATION

Generally, regulation should comply with the following requirements to fulfil its objectives:

- Barriers to entry and exit from markets and products should be kept to a minimum to ensure access for the widest possible range of participants.
- Regulatory measures should not be implemented if their impact and consequently the cost to the economy have not been evaluated. The benefits of regulation should always exceed the cost of regulation.
- Restrictions and requirements for participants offering the same product should be equal. For example, there should be no difference between the regulatory requirements for banks and insurance companies if both wish to offer investment management services
- A regular review of the perimeter or scope of regulation should take place i.e., what should be regulated and what should not.

PROXY VOTING RULES



Proxy voting allows shareholders to participate in corporate decisions without needing to be physically present at meetings.

It serves as a vital mechanism ensuring that shareholder rights are protected, enabling them to vote on important matters such as board elections and corporate policies.

This process enhances transparency and accountability within corporate governance, ensuring that the interests of shareholders are represented even in their absence.



DEFINITION OF PROXY VOTING

- Proxy voting is a process that allows shareholders to authorise another individual or entity, known as a proxy, to vote on their behalf during shareholder meetings.
- A proxy holder is the person or institution appointed by a shareholder to cast votes according to the shareholder's instructions or at their discretion.
- Proxy voting is essential for enabling shareholder participation in corporate governance, especially when they are unable to attend meetings in person.



- Share ownership requirements
- Voting rights allocation
- Record date importance
- Proxy authorisation

Share Ownership Requirements

Only shareholders of record on the specified record date are eligible to vote by proxy. This ensures that only those with vested interests can influence decisions.

Voting Rights Allocation

Voting rights are typically allocated based on the number of shares held, with each share generally granting one vote. This structure promotes equitable representation in decision-making.

Record Date Importance

The record date is crucial as it determines which shareholders are eligible to vote. Shareholders must be on the company's books by this date to participate in proxy voting.

Proxy Authorisation

Shareholders must authorise their proxy holder to vote on their behalf, which can be done through a completed proxy form. This process formalises the delegation of voting power.



- Disclosure requirements
- Fair communication
- Regulatory compliance

Disclosure Requirements

Companies must provide comprehensive information about proposals, including details from annual reports and resolutions, ensuring shareholders are well-informed before voting.

Fair Communication

Proxy materials must be distributed to shareholders timely and equitably, providing equal access to information for all eligible voters to facilitate informed decisions.

Regulatory Compliance

Proxy solicitation must comply with the rules established by governing bodies, ensuring that all practices meet legal and ethical standards for corporate governance.



- Appointment of Proxy
- Submission of Votes
- Deadline for Submission
- Verification of Votes

Appointment of Proxy

Shareholders fill out a proxy form to appoint a proxy holder, which can be an individual or institution to represent them at meetings.

- Proxy form
- Appointment confirmation

Submission of Votes

Votes can be submitted via mail, online platforms, or phone systems, ensuring secure transmission and recording of votes.

- Vote submission confirmation
- Vote recording log

Deadline for Submission

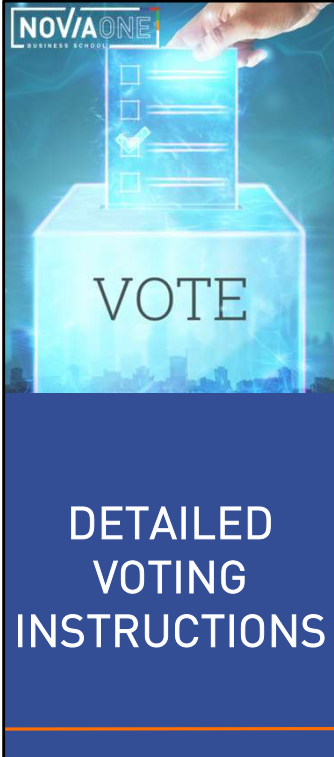
Proxy votes must be submitted by a set deadline established by the company to allow time for counting before the meeting.

- Submission deadline notification
- Count of submitted votes

Verification of Votes

Votes are verified to ensure validity and accuracy, checking against shareholder records and eligibility criteria.

- Vote verification report
- Final vote count



Specific Instructions

- Shareholders can instruct their proxy holders to vote in a specific manner on particular issues.
- Instructions must be clear and detailed to ensure accurate representation of shareholder intent.
- Proxy forms often include sections for shareholders to specify their voting preferences on resolutions

Discretionary Authority

- Shareholders may grant proxy holders discretionary authority to vote on unspecified matters.
- This allows proxy holders to make decisions based on their judgment for issues not explicitly outlined.
- Discretionary authority can be beneficial in situations where immediate decisions are required.



PROXY VOTING IN FUND MANAGEMENT

- Fiduciary Responsibility
- Voting Policies
- Conflict of Interest

Fiduciary Responsibility

Fund managers are obligated to act in the best interest of their clients when voting on proxy matters, ensuring that decisions align with the investors' goals and welfare.

Voting Policies

Institutional investors must establish clear proxy voting policies that outline how votes will be cast on behalf of clients, including transparency in disclosing their voting records.

Conflict of Interest

Fund managers must identify and avoid conflicts of interest that may arise during proxy voting, ensuring independent decision-making that prioritises client interests over personal or institutional gains.



- Proxy Statements
- Transparency
- Record-Keeping
- Shareholder Proposals

Proxy Statements

Public companies must issue a proxy statement that details the items to be voted on, including resolutions and key corporate actions.

Transparency

In some jurisdictions, companies must disclose proxy votes and their rationales to shareholders, promoting transparency in decision-making.

Record-Keeping

Companies are required to document proxy votes and related materials, retaining them for a specified period to ensure accountability

Shareholder Proposals

Shareholders have the right to submit proposals for inclusion in the proxy statement, subject to specific eligibility criteria and deadlines.

ASISA FUND CLASSIFICATION INSIGHTS

KEY ASPECTS OF THE ASISA STANDARD

The ASISA Standard on Fund Classification serves to systematically categorise investment funds, allowing for easier comparison by investors.

This classification enhances transparency and consistency within the investment industry, ensuring that investors can make informed decisions based on clear, objective criteria.

By standardising fund categories, it fosters accountability among fund managers and promotes a clearer understanding of investment strategies and risk profiles for consumers.

KEY FEATURES OF REGULATION 28

- Risk Management
- Asset Allocation Limits
- Long-term Investment Focus

Risk Management

Regulation 28 aims to protect pension fund members by ensuring a diversified investment approach, reducing the risk of overexposure to single asset classes.

Asset Allocation Limits

It sets specific limits on how funds can allocate their assets across various classes, such as equities, fixed interest, and property, promoting balanced investments.

Long-term Investment Focus

The regulation encourages a long-term investment strategy that supports steady growth, ensuring funds remain solvent and capable of meeting members' future obligations.

RISK CONTROL MEASURES IN REGULATION 28

Diversification Strategies

- Regulation 28 mandates diversification across asset classes to minimise risk exposure.
- Funds must not concentrate their investments in a single asset type or sector, promoting a balanced portfolio.
- Diversification helps protect pension funds from significant losses during market volatility.

Concentration Limits

- Limits are imposed on the maximum percentage of fund assets allocated to any single investment.
- This prevents excessive reliance on one issuer or sector, reducing potential financial risk.
- Concentration limits ensure compliance with prudent investment practices, safeguarding members' interests

SOCIALLY RESPONSIBLE INVESTMENT (SRI)

- Environmental, Social, and Governance (ESG) factors are integral to investment decisions under Regulation 28, guiding pension funds to consider the broader impact of their investments.
- Funds are encouraged to invest in companies that demonstrate sustainable practices, such as reducing carbon footprints, ethical labour practices, and strong governance structures.
- Regulation 28 supports the alignment of pension fund investments with societal goals, ensuring that financial growth does not come at the expense of social responsibility and environmental stewardship

IMPACT OF REGULATION 28 ON FUND MANGERS

Strategic Asset Allocation

- Fund managers must adhere to strict asset allocation limits set by Regulation 28.
- This ensures diversification across various asset classes to minimise risk.
- The regulation promotes a balanced investment approach, aligning with long-term growth objectives.

Reporting Responsibilities

- Fund managers are required to regularly report compliance with Regulation 28 to the FSCA.
- Transparency in reporting is essential to demonstrate adherence to investment limits.
- Annual audits must be conducted to ensure that portfolios align with regulatory standards.

EXEMPTIONS AND SPECIAL CASES UNDER REGULATION 28

- Certain funds, such as prescribed retirement funds, may receive exemptions from specific asset allocation limits under Regulation 28, enabling them to follow unique investment strategies.
- Umbrella funds can also be exempt from some provisions, allowing for flexible asset management to cater to diverse member needs while still adhering to core risk management principles.
- Funds with special investment structures may negotiate exemptions, provided they demonstrate robust risk management and remain compliant with the overarching objectives of Regulation 28.
- The Financial Sector Conduct Authority (FSCA) has the authority to grant exemptions based on specific fund characteristics, such as investment strategies or member demographics, ensuring that the funds remain solvent and secure.

IMPORTANCE OF REGULATION 28 FOR PENSION FUND MEMBERS

- Regulation 28 ensures that pension funds are managed prudently, safeguarding the long-term financial security of fund members.
- It promotes diversification of assets, reducing the risk of significant losses from market volatility, which is crucial for stable retirement income.
- By setting clear limits on asset allocation, Regulation 28 helps prevent excessive risk-taking, ensuring funds remain solvent and capable of meeting obligations to members.

COMPETITION REGULATION

OVERVIEW

Competition regulation involves laws and practices aimed at promoting fair competition and preventing anti-competitive behaviour in the marketplace.

It ensures that businesses can operate on a level playing field, fostering innovation and protecting consumers from monopolistic practices.

By enforcing rules against collusion, price-fixing, and abuse of market dominance, competition regulation plays a critical role in maintaining the integrity and efficiency of markets.

CONSUMER PROTECTION

- Right to fair value
- Safety standards
- Supplier obligations
- Transparency in transactions

Right to Fair Value

Consumers are entitled to receive products and services that are fairly priced and correspond to the value promised by sellers.

Safety Standards

Regulations mandate that products must meet safety standards to protect consumers from harm, ensuring quality and reliability.

Supplier Obligations

Suppliers must provide clear information about products, including any risks, and comply with safety regulations to safeguard consumer interests.

Transparency in Transactions

Businesses are required to disclose all terms and conditions, including pricing, to enable consumers to make informed purchasing decisions.

FINANCIAL SECTOR REGULATION

- Licensing requirements
- Risk management
- Market conduct rules
- Reporting requirements

Licensing Requirements

Financial institutions must obtain licenses to operate legally, ensuring they meet regulatory standards for safety and soundness.

Risk Management

Institutions are required to maintain adequate capital reserves and implement risk management strategies to mitigate financial exposure.

Market Conduct Rules

Rules mandate transparency in fees, services, and terms, ensuring fair treatment of consumers in financial transactions.

Reporting Requirements

Regular submission of financial reports and disclosures to regulators is necessary to maintain oversight and accountability within the sector.

SECURITIES AND EXCHANGE REGULATION

- Listing rules
- Trading rules
- Investor protections

Listing Rules

Companies must meet specific criteria, including financial stability, governance, and business operations, to list their securities on the Johannesburg Stock Exchange (JSE). Compliance with ongoing disclosure requirements is also mandatory.

Trading Rules

Prohibition of insider trading ensures a level playing field, while rules against market manipulation prevent practices that distort prices. Firms must have procedures in place to monitor and enforce these regulations.

Investor Protections

Investors are guaranteed fair access to information and equitable treatment. Regulators require timely disclosure of material information that may impact share prices, ensuring transparency in the investment process.

- Spectrum management
- Content regulation
- Pricing regulation
- Consumer rights

Spectrum Management

Regulators allocate and license radio frequencies to ensure efficient use and prevent interference among communication services.

Content Regulation

Rules govern broadcasting standards and advertising practices to protect consumers from misleading content and ensure fair representation.

Pricing Regulation

Oversight of telecommunication tariffs aims to prevent excessive pricing and ensure affordability of services for consumers.

Consumer Rights

Consumers are guaranteed fair access to services, transparent pricing, and resolution mechanisms for complaints and disputes.

- Environmental impact assessments (EIAs)
- Pollution control measures
- Sustainability requirements
- Compliance monitoring

Environmental Impact Assessments (EIAs)

EIAs are mandatory assessments to evaluate the potential environmental effects of proposed projects, ensuring that decision-makers consider environmental impacts before approval.

Pollution Control Measures

Regulations impose limits on emissions and waste management practices to minimise pollution, including penalties for organisations that fail to comply with environmental standards.

Sustainability Requirements

Businesses are encouraged to adopt sustainable practices, such as using renewable energy sources and implementing conservation measures to protect natural resources.

Compliance Monitoring

Regulatory authorities conduct regular inspections and audits to ensure compliance with environmental regulations, assessing adherence to standards and taking corrective actions when necessary.

LABOUR AND EMPLOYMENT REGULATION

- Fair employment practices
- Minimum wage standards
- Workplace safety rules
- Collective bargaining rights

Fair Employment Practices

Regulations prohibit discrimination based on race, gender, age, or disability, ensuring equal opportunities for all employees.

Minimum Wage Standards

Legislation enforces a statutory minimum wage to guarantee a basic income level for workers, protecting them from exploitation.

Workplace Safety Rules

Employers are required to adhere to occupational health and safety standards to protect employees from hazards and risks

Collective Bargaining Rights

Employees have the right to organise and negotiate collective agreements with employers, ensuring fair treatment and compensation.

ENERGY SECTOR REGULATION

- Tariff approvals
- Renewable energy rules
- Operational standards
- Licensing

Tariff Approvals

Regulatory authorities review and approve tariff rates for electricity and gas to ensure fair pricing for consumers while allowing providers to recover costs.

Renewable Energy Rules

Regulations promote the integration of renewable energy sources, requiring utilities to meet specific renewable energy standards and provide incentives for sustainable practices.

Operational Standards

Energy providers must adhere to operational standards for safety, reliability, and efficiency, ensuring continuous service delivery and minimising disruptions.

Licensing

All entities involved in energy generation, distribution, and trading must obtain appropriate licenses, demonstrating compliance with regulatory requirements and operational capabilities.

AGRICULTURAL AND FOOD SAFETY REGULATION

- Standards for food products
- Inspections
- Import and export rules
- Pesticide and GMO regulations

Standards for Food Products

Food products must meet strict quality and safety standards set by regulatory bodies, ensuring they are safe for consumption and accurately labeled.

Inspections

Regular inspections are conducted on farms, processing facilities, and retail outlets to ensure compliance with food safety regulations and standards.

Import and Export Rules

Regulations govern the import and export of food products, requiring compliance with international safety standards and preventing the entry of contaminated goods.

Pesticide and GMO Regulations

Rules are in place to manage the use of pesticides and genetically modified organisms, ensuring they are safe for human consumption and the environment.

PENALTIES FOR NON- COMPLIANCE

- Fines
- License revocation
- Court action
- Corrective orders

Fines

Regulatory bodies impose substantial monetary fines on individuals or companies that violate regulations, serving as a deterrent against non-compliance.

License Revocation

Regulators can suspend or revoke licenses of firms or professionals who fail to adhere to legal standards, preventing them from operating legally.

Court Action

Violations may lead to criminal or civil court actions, where regulators seek to impose penalties or seek damages for unlawful activities.

Corrective Orders

Regulatory authorities may issue orders requiring violators to rectify their actions or restore compliance, ensuring accountability and remediation.

CHALLENGES WITH GATEKEEPING RULES

- Barriers to entry
- Regulatory capture
- Complexity of compliance
- Costs of compliance

Barriers to Entry

High costs and stringent requirements can deter new entrants from accessing financial markets, leading to reduced competition.

Regulatory Capture

Larger entities may influence regulations to favor their interests, stifling competition and innovation in the market.

Complexity of Compliance

The intricate nature of regulations can overwhelm small firms, making it difficult for them to navigate compliance requirements effectively.

Cost of Compliance

Maintaining compliance can require substantial resources, posing a financial burden on smaller businesses compared to larger firms.

INTERNAL CONTROL MEASURES

- Segregation of duties
- Approval hierarchies
- Periodic audits

Segregation of Duties

Dividing responsibilities among different individuals to reduce the risk of fraud and error. For example, one person may handle transactions while another reviews and approves them.

Approval Hierarchies

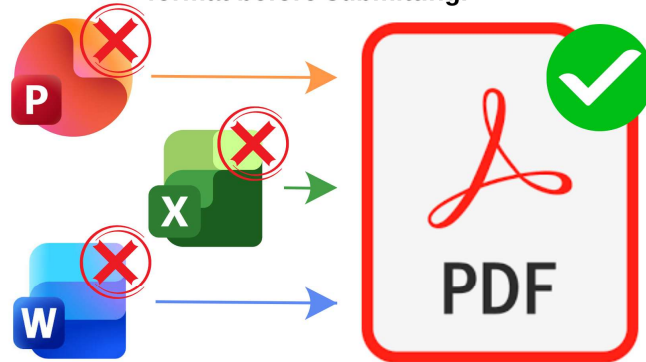
Establishing a structured chain of authority for financial transactions to ensure that all expenditures and financial commitments are authorised by designated personnel.

Periodic Audits

Regular assessments of financial practices and controls to ensure compliance with regulations and identify areas for improvement. Helps in detecting discrepancies early.

REMINDER

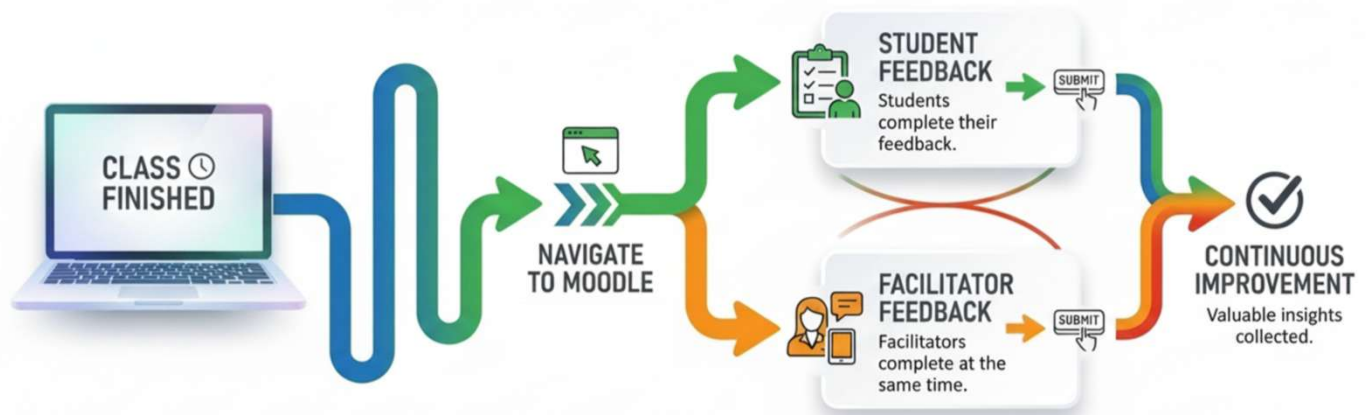
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